

Brewarrina Shire Council

ANNUAL FINANCIAL STATEMENTS
for the year ended 30 June 2022

*Building on the economic and social sustainability
in order to preserve the rich heritage of the community*



Brewarrina Shire Council

GENERAL PURPOSE FINANCIAL STATEMENTS
for the year ended 30 June 2022

*Building on the economic and social sustainability
in order to preserve the rich heritage of the community*



Brewarrina Shire Council

General Purpose Financial Statements

for the year ended 30 June 2022

Contents	Page
Statement by Councillors and Management	3
Primary Financial Statements:	
Income Statement	4
Statement of Comprehensive Income	5
Statement of Financial Position	6
Statement of Changes in Equity	7
Statement of Cash Flows	8
Notes to the Financial Statements	9
Independent Auditor's Reports:	
On the Financial Statements (Sect 417 [2])	71
On the Financial Statements (Sect 417 [3])	74

Overview

Brewarrina Shire Council is constituted under the Local Government Act 1993 (NSW) and has its principal place of business at:

57 Bathurst Street
Brewarrina NSW 2839

Council's guiding principles are detailed in Chapter 3 of the LGA and includes:

- principles applying to the exercise of functions generally by council,
- principles to be applied when making decisions,
- principles of community participation,
- principles of sound financial management, and
- principles for strategic planning relating to the development of an integrated planning and reporting framework.

A description of the nature of Council's operations and its principal activities are provided in Note B1-1.

Through the use of the internet, we have ensured that our reporting is timely, complete and available at minimum cost. All press releases, financial statements and other information are publicly available on our website: www.brewarrina.nsw.gov.au.

Brewarrina Shire Council

General Purpose Financial Statements

for the year ended 30 June 2022

Statement by Councillors and Management

Statement by Councillors and Management made pursuant to Section 413(2)(c) of the *Local Government Act 1993* (NSW)

The attached general purpose financial statements have been prepared in accordance with:

- the *Local Government Act 1993* and the regulations made thereunder,
- the Australian Accounting Standards and other pronouncements of the Australian Accounting Standards Board
- the Local Government Code of Accounting Practice and Financial Reporting.

To the best of our knowledge and belief, these statements:

- present fairly the Council's operating result and financial position for the year
- accord with Council's accounting and other records.

We are not aware of any matter that would render these statements false or misleading in any way.

Signed in accordance with a resolution of Council made on 29 July 2022.



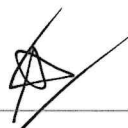
Vivian Slack-Smith
Mayor
29 July 2022



Angelo Pippas
Deputy Mayor
29 July 2022



David Kirby
Acting General Manager
29 July 2022



Ang Pasang Rai
Responsible Accounting Officer
29 July 2022

Brewarrina Shire Council

Income Statement

for the year ended 30 June 2022

Original unaudited budget 2022 \$ '000		Notes	Actual 2022 \$ '000	Actual 2021 \$ '000
Income from continuing operations				
2,434	Rates and annual charges	B2-1	2,444	2,388
2,671	User charges and fees	B2-2	1,349	2,546
451	Other revenues	B2-3	617	433
7,043	Grants and contributions provided for operating purposes	B2-4	9,236	7,009
24,938	Grants and contributions provided for capital purposes	B2-4	33,837	24,760
90	Interest and investment income	B2-5	124	56
124	Other income	B2-6	125	126
–	Net gain from the disposal of assets	B4-1	–	55
37,751	Total income from continuing operations		47,732	37,373
Expenses from continuing operations				
5,345	Employee benefits and on-costs	B3-1	5,517	5,283
3,372	Materials and services	B3-2	3,255	3,436
68	Borrowing costs	B3-3	67	75
3,447	Depreciation, amortisation and impairment of non-financial assets	B3-4	3,871	3,470
287	Other expenses	B3-5	332	163
–	Net loss from the disposal of assets	B4-1	116	–
12,519	Total expenses from continuing operations		13,158	12,427
25,232	Operating result from continuing operations		34,574	24,946
25,232	Net operating result for the year attributable to Council		34,574	24,946
Net operating result for the year before grants and contributions provided for capital purposes				
294			737	186

The above Income Statement should be read in conjunction with the accompanying notes.

Brewarrina Shire Council

Statement of Comprehensive Income

for the year ended 30 June 2022

	Notes	2022 \$ '000	2021 \$ '000
Net operating result for the year – from Income Statement		34,574	24,946
Other comprehensive income:			
Amounts which will not be reclassified subsequently to the operating result			
Gain (loss) on revaluation of infrastructure, property, plant and equipment	C1-7	19,459	526
Total items which will not be reclassified subsequently to the operating result		19,459	526
Total other comprehensive income for the year		19,459	526
Total comprehensive income for the year attributable to Council		54,033	25,472

The above Statement of Comprehensive Income should be read in conjunction with the accompanying notes.

Brewarrina Shire Council

Statement of Financial Position

as at 30 June 2022

	Notes	2022 \$ '000	2021 \$ '000
ASSETS			
Current assets			
Cash and cash equivalents	C1-1	20,988	15,847
Receivables	C1-3	780	5,542
Inventories	C1-4	202	183
Contract assets and contract cost assets	C1-5	2,910	4,489
Non-current assets classified as 'held for sale'	C1-6	–	151
Other		26	109
Total current assets		24,906	26,321
Non-current assets			
Infrastructure, property, plant and equipment (IPPE)	C1-7	226,519	175,572
Total non-current assets		226,519	175,572
Total assets		251,425	201,893
LIABILITIES			
Current liabilities			
Payables	C3-1	1,131	2,278
Contract liabilities	C3-2	3,766	7,119
Borrowings	C3-3	159	167
Employee benefit provisions	C3-4	1,098	917
Total current liabilities		6,154	10,481
Non-current liabilities			
Payables	C3-1	51	46
Borrowings	C3-3	1,250	1,409
Employee benefit provisions	C3-4	78	98
Total non-current liabilities		1,379	1,553
Total liabilities		7,533	12,034
Net assets		243,892	189,859
EQUITY			
Accumulated surplus		162,641	128,067
IPPE revaluation reserve	C4-1	81,251	61,792
Council equity interest		243,892	189,859
Total equity		243,892	189,859

The above Statement of Financial Position should be read in conjunction with the accompanying notes.

Brewarrina Shire Council

Statement of Changes in Equity

for the year ended 30 June 2022

	Notes	2022			2021		
		Accumulated surplus \$ '000	IPPE revaluation reserve \$ '000	Total equity \$ '000	Accumulated surplus \$ '000	IPPE revaluation reserve \$ '000	Total equity \$ '000
Opening balance at 1 July		128,067	61,792	189,859	103,121	61,266	164,387
Net operating result for the year		34,574	–	34,574	24,946	–	24,946
Net operating result for the period		34,574	–	34,574	24,946	–	24,946
Other comprehensive income							
Gain (loss) on revaluation of infrastructure, property, plant and equipment	C1-7	–	19,459	19,459	–	526	526
Other comprehensive income		–	19,459	19,459	–	526	526
Total comprehensive income		34,574	19,459	54,033	24,946	526	25,472
Closing balance at 30 June		162,641	81,251	243,892	128,067	61,792	189,859

The above Statement of Changes in Equity should be read in conjunction with the accompanying notes.

Brewarrina Shire Council

Statement of Cash Flows

for the year ended 30 June 2022

Original unaudited budget 2022 \$ '000		Notes	Actual 2022 \$ '000	Actual 2021 \$ '000
Cash flows from operating activities				
Receipts:				
2,434	Rates and annual charges		2,465	2,382
2,671	User charges and fees		1,417	6,417
90	Interest received		79	67
31,860	Grants and contributions		32,853	32,053
34	Bonds, deposits and retentions received		32	—
124	Other		803	582
Payments:				
(5,354)	Payments to employees		(5,366)	(5,503)
(3,372)	Payments for materials and services		(3,844)	(2,923)
(68)	Borrowing costs		(67)	(75)
—	Bonds, deposits and retentions refunded		—	(63)
(287)	Other		(212)	(263)
28,132	Net cash flows from operating activities	G1-1	28,160	32,674
Cash flows from investing activities				
Receipts:				
75	Proceeds from sale of IPPE		14	169
Payments:				
(28,029)	Payments for IPPE		(22,866)	(26,884)
(27,954)	Net cash flows from investing activities		(22,852)	(26,715)
Cash flows from financing activities				
Payments:				
(158)	Repayment of borrowings		(167)	(159)
(158)	Net cash flows from financing activities		(167)	(159)
20	Net change in cash and cash equivalents		5,141	5,800
9,360	Cash and cash equivalents at beginning of year		15,847	10,047
9,380	Cash and cash equivalents at end of year	C1-1	20,988	15,847

The above Statement of Cash Flows should be read in conjunction with the accompanying notes.

Brewarrina Shire Council

Contents for the notes to the Financial Statements for the year ended 30 June 2022

A About Council and these financial statements	11
A1-1 Basis of preparation	11
B Financial Performance	15
B1 Functions or activities	15
B1-1 Functions or activities – income, expenses and assets	15
B1-2 Components of functions or activities	16
B2 Sources of income	17
B2-1 Rates and annual charges	17
B2-2 User charges and fees	18
B2-3 Other revenues	19
B2-4 Grants and contributions	20
B2-5 Interest and investment income	23
B2-6 Other income	23
B3 Costs of providing services	24
B3-1 Employee benefits and on-costs	24
B3-2 Materials and services	25
B3-3 Borrowing costs	25
B3-4 Depreciation, amortisation and impairment of non-financial assets	26
B3-5 Other expenses	27
B4 Gains or losses	28
B4-1 Gain or loss from the disposal, replacement and de-recognition of assets	28
B5 Performance against budget	29
B5-1 Material budget variations	29
C Financial position	31
C1 Assets we manage	31
C1-1 Cash and cash equivalents	31
C1-2 Restricted and allocated cash, cash equivalents and investments	32
C1-3 Receivables	34
C1-4 Inventories	36
C1-5 Contract assets	36
C1-6 Non-current assets classified as held for sale	37
C1-7 Infrastructure, property, plant and equipment	38
C2 Leasing activities	42
C2-1 Council as a lessee	42
C2-2 Council as a lessor	43
C3 Liabilities of Council	44
C3-1 Payables	44
C3-2 Contract Liabilities	45
C3-3 Borrowings	46
C3-4 Employee benefit provisions	48

Brewarrina Shire Council

Contents for the notes to the Financial Statements for the year ended 30 June 2022

C4 Reserves	49
C4-1 Nature and purpose of reserves	49
D Council structure	50
D1 Results by fund	50
D1-1 Income Statement by fund	50
D1-2 Statement of Financial Position by fund	51
E Risks and accounting uncertainties	52
E1-1 Risks relating to financial instruments held	52
E2-1 Fair value measurement	55
E3-1 Contingencies	58
F People and relationships	61
F1 Related party disclosures	61
F1-1 Key management personnel (KMP)	61
F1-2 Councillor and Mayoral fees and associated expenses	63
F2 Other relationships	64
F2-1 Audit fees	64
G Other matters	65
G1-1 Statement of Cash Flows information	65
G2-1 Commitments	66
G3-1 Events occurring after the reporting date	67
G4 Statement of performance measures	68
G4-1 Statement of performance measures – consolidated results	68
G4-2 Statement of performance measures by fund	69

A About Council and these financial statements

A1-1 Basis of preparation

These financial statements were authorised for issue by Council on 29 July 2022. Council has the power to amend and reissue these financial statements in cases where critical information is received from public submissions or where the OLG directs Council to amend the financial statements.

The principal accounting policies adopted in the preparation of these consolidated financial statements are set out below.

These policies have been consistently applied to all the years presented, unless otherwise stated.

These general purpose financial statements have been prepared in accordance with Australian Accounting Standards and Australian Accounting Interpretations, the *Local Government Act 1993 (NSW)* and Regulations, and the Local Government Code of Accounting Practice and Financial Reporting.

Council is a not for-profit entity.

The financial statements are presented in Australian dollars and are rounded to the nearest thousand dollars.

Unless otherwise indicated, all amounts disclosed in the financial statements are actual amounts. Specific budgetary amounts which are not subject to external audit have been included for comparative analysis (to actuals) in the following reports and notes:

- Income statement
- Statement of cash flows
- Note B5-1 – Material budget variations

and are clearly marked.

COVID-19

We have assessed the pandemic's impact and responses taken and conclude COVID-19 had a negligible influence on the Council's operations and financial situation at the end of June 2022.

All mandatory and recommended health measures conveyed through the Office of Local Government, NSW Health, and other agencies have been undertaken by Council to protect businesses and individuals.

Infrastructure, Property, Plant & Equipment valuations have been reviewed, including revaluations of Open Space and Other Structures assets throughout the local government area during the year. The Council is confident that the pandemic has had no impact on the valuations presented in Council's financial statements for the year ending 30 June 2022.

The risk of increased default concerning overdue rates and charges, as well as other receivables, has been assessed by the Council, and it has been determined that COVID-19 will have no significant impact.

The Council's region has seen a few local cases of COVID-19 since the balance date, but the Council has taken appropriate health measures as per the State and Federal guidelines. Ongoing economic and financial risks will be mitigated by monitoring the pandemic's effects and maintaining existing measures to protect the community and businesses from the impact of the pandemic.

Historical cost convention

These financial statements have been prepared under the historical cost convention, as modified by the revaluation of certain infrastructure, property, plant and equipment and investment property.

A1-1 Basis of preparation (continued)

Significant accounting estimates and judgements

The preparation of financial statements requires the use of certain critical accounting estimates. It also requires management to exercise its judgement in the process of applying the Council's accounting policies.

Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expectations of future events that may have a financial impact on the Council and that are believed to be reasonable under the circumstances.

Critical accounting estimates and assumptions

Council makes estimates and assumptions concerning the future.

The resulting accounting estimates will, by definition, seldom equal the related actual results.

The estimates and assumptions that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year include:

- (i) estimated fair values of infrastructure, property, plant and equipment – refer Note C1-7 and Note E2-1
- (ii) employee benefit provisions – refer Note C3-4.

Significant judgements in applying the Council's accounting policies

- (i) Impairment of receivables

Council has made a significant judgement about the impairment of a number of its receivables – refer Note C1-3.

Monies and other assets received by Council

The Consolidated Fund

In accordance with the provisions of Section 409(1) of the Local Government Act 1993 (NSW), all money and property received by Council is held in the Council's Consolidated Fund unless it is required to be held in the Council's Trust Fund.

Cash and other assets of the following entities have been included as part of the Consolidated Fund:

- General purpose operations
- Water service
- Sewerage service

The Trust Fund

In accordance with the provisions of Section 411 of the *Local Government Act 1993 (NSW)* (as amended), a separate and distinct Trust Fund is maintained to account for all money and property received by the council in trust which must be applied only for the purposes of, or in accordance with, the trusts relating to those monies.

Trust monies and property subject to Council's control have been included in these reports.

A separate statement of monies held in the Trust Fund is available for inspection at the council office by any person free of charge

Goods and Services Tax (GST)

Revenues, expenses and assets are recognised net of the amount of associated GST, unless the GST incurred is not recoverable from the taxation authority. In this case it is recognised as part of the cost of acquisition of the asset or as part of the expense.

Receivables and payables are stated inclusive of the amount of GST receivable or payable. The net amount of GST recoverable from, or payable to, the taxation authority is included with other receivables or payables in the Statement of Financial Position.

Cash flows are presented on a gross basis. The GST components of cash flows arising from investing or financing activities that are recoverable from, or payable to, the taxation authority, are presented as operating cash flows.

A1-1 Basis of preparation (continued)

New accounting standards and interpretations issued but not yet effective

New accounting standards and interpretations issued but not yet effective

Certain new accounting standards and interpretations (ie. pronouncements) have been published by the Australian Accounting Standards Board that are not mandatory for the 30 June 2022 reporting period.

Council has elected not to apply any of these pronouncements in these financial statements before their operative dates.

Council's assessment of these new standards and interpretations (where they have been deemed as having a material impact on Council's future financial performance, financial position and cash flows) are set out below:

AASB 2020-1 Amendments to Australian Accounting Standards – Classification of Liabilities as Current or Non-current; and AASB 2020-6 Amendments to Australian Accounting Standards – Classification of Liabilities as Current or Non-current – Deferral of Effective Date

AASB 2020-1 amends AASB 101 Presentation of Financial Statements to clarify requirements for the presentation of liabilities in the statement of financial position as current or non-current.

For example the amendments clarify that a liability is classified as non-current if an entity has the right at the end of the reporting period to defer settlement of the liability for at least 12 months after the reporting period. The meaning of settlement of a liability is also clarified.

Council does not expect any material impact from the above amendments and to its classification of liabilities as current or non-current.

This standard has an effective date for the 30 June 2024 reporting period.

AASB 2020-3 Amendments to Australian Accounting Standards – Annual Improvements 2018 - 2020 and Other Amendments

This Standard amends a number of standards as follows:

- AASB 1 to simplify the application of AASB 1 by a subsidiary that becomes a first-time adopter after its parent in relation to the measurement of cumulative translation differences,
- AASB 3 to update a reference to the Conceptual Framework for Financial Reporting without changing the accounting requirements for business combinations,
- AASB 9 to clarify the fees an entity includes when assessing whether the terms of a new or modified financial liability are substantially different from the terms of the original financial liability,
- AASB 116 to require an entity to recognise the sales proceeds from selling items produced while preparing property, plant and equipment for its intended use and the related cost in profit or loss, instead of deducting the amounts received from the cost of the asset,
- AASB 137 to specify the costs that an entity includes when assessing whether a contract will be loss-making, and
- AASB 141 to remove the requirement to exclude cash flows from taxation when measuring fair value, thereby aligning the fair value measurement requirements in AASB 141 with those in other Australian Accounting Standards.

Council does not expect any material impact from the above amendments.

This standard has an effective date for the 30 June 2023 reporting period.

AASB 2021-2 Amendments to Australian Accounting Standards – Disclosure of Accounting Policies and Definition of Accounting Estimates [amends AASB 7, AASB 101, AASB 108, AASB 134 & AASB Practice Statement 2]

This Standard amends a number of standards as follows:

AASB 7 to clarify that information about measurement bases for financial instruments is expected to be material to an entity's financial statements;

AASB 101 to require entities to disclose their material accounting policy information rather than their significant accounting policies;

AASB 108 to clarify how entities should distinguish changes in accounting policies and changes in accounting estimates;

A1-1 Basis of preparation (continued)

AASB 134 to identify material accounting policy information as a component of a complete set of financial statements; and

AASB Practice Statement 2 to provide guidance on how to apply the concept of materiality to accounting policy disclosures.

Above amendments might result in reductions in quantum of accounting policies disclosures to focus on key decision areas and material policies only. Council does not expect any material impact on reported financial performance or position.

This standard has an effective date for the 30 June 2024 reporting period.

Apart from the standards listed above there are no other released standards and interpretations (with future effective dates) that are expected to have a material impact on Council.

Council has elected not to apply any of these pronouncements in these financial statements before their operative dates.

New accounting standards adopted during the year

During the year Council adopted all accounting standards and interpretations (as issued by the Australian Accounting Standards Board) which were mandatorily effective from the first time at 30 June 2022.

None of the newly adopted standards had a material impact on Council's reported financial position, financial performance and/or associated financial statement disclosures.

B Financial Performance

B1 Functions or activities

B1-1 Functions or activities – income, expenses and assets

Income, expenses and assets have been directly attributed to the following functions or activities. Details of those functions or activities are provided in Note B1-2.

	Income		Expenses		Operating result		Grants and contributions		Carrying amount of assets	
	2022 \$ '000	2021 \$ '000	2022 \$ '000	2021 \$ '000	2022 \$ '000	2021 \$ '000	2022 \$ '000	2021 \$ '000	2022 \$ '000	2021 \$ '000
Functions or activities										
Governance	4	5	734	673	(730)	(668)	–	–	–	–
Administration	13,647	328	(70)	1,154	13,717	(826)	13,029	3	33,054	30,977
Public Order and Safety	78	51	386	257	(308)	(206)	76	10	–	–
Health	56	39	109	163	(53)	(124)	–	–	–	–
Environment	312	347	637	655	(325)	(308)	20	48	3,564	3,256
Community Services and Education	406	578	430	703	(24)	(125)	282	298	27,211	14,630
Housing and Community Amenities	115	173	428	358	(313)	(185)	24	46	2,240	1,701
Water Supplies	1,137	1,208	1,449	1,073	(312)	135	2	104	16,004	14,208
Sewerage Services	492	479	511	478	(19)	1	–	–	9,256	8,582
Recreation and Culture	1,079	2,030	1,320	1,221	(241)	809	1,049	1,994	3,139	3,424
Mining, Manufacturing and Construction	4	22	45	75	(41)	(53)	–	–	–	–
Transport and Communication	21,766	25,552	6,238	4,410	15,528	21,142	21,636	24,542	156,957	125,115
Economic Affairs	818	892	941	1,207	(123)	(315)	337	180	–	–
General Purpose Income	7,818	5,669	–	–	7,818	5,669	6,618	4,544	–	–
Total functions and activities	47,732	37,373	13,158	12,427	34,574	24,946	43,073	31,769	251,425	201,893

B1-2 Components of functions or activities

Details relating to the Council's functions or activities as reported in B1-1 are as follows:

GOVERNANCE

Includes costs relating to Council's role as a component of democratic government, including elections, members' fees and expenses, subscriptions to local authority associations, meetings of Council and policymaking committees, public disclosure (e.g. GIPA), and legislative compliance.

ADMINISTRATION

Includes corporate support and other support services, engineering works, and any Council policy compliance.

PUBLIC ORDER AND SAFETY

Includes Council's fire and emergency services levy, fire protection, emergency services, beach control, enforcement of regulations and animal control.

HEALTH

Includes immunisation, food control, health centres etc.

ENVIRONMENT

Includes noxious plants and insect/vermin control; other environmental protection; solid waste management, including domestic waste; other waste management; other sanitation; and garbage, street cleaning, drainage and stormwater management.

COMMUNITY SERVICES AND EDUCATION

Includes administration and education; social protection (welfare); migrant, Aboriginal and other community services and administration (excluding accommodation – as it is covered under 'housing and community amenities'); youth services; aged and disabled persons services; children's services, including family day care; child care; and other family and children services.

HOUSING AND COMMUNITY AMENITIES

Includes public cemeteries; public conveniences; street lighting; town planning; other community amenities, including housing development and accommodation for families and children, aged persons, disabled persons, migrants and Indigenous persons.

WATER SUPPLIES

Includes water supplies to Brewarrina, Angledool and Goodooga.

SEWERAGE SERVICES

Includes sewerage services to Brewarrina and Goodooga.

RECREATION AND CULTURE

Includes public libraries; museums; art galleries; community centres and halls, including public halls and performing arts venues; sporting grounds and venues; swimming pools; parks; gardens; lakes; and other sporting, recreational and cultural services.

MINING, MANUFACTURING AND CONSTRUCTION

Includes building control, quarries and pits, mineral resources, and abattoirs.

TRANSPORT AND COMMUNICATION

Urban local, urban regional, includes sealed and unsealed roads, bridges, footpaths, parking areas, and aerodromes.

ECONOMIC AFFAIRS

Includes camping areas and caravan parks; tourism and area promotion; industrial development promotion; sale yards and markets; real estate development; commercial nurseries; and other business undertakings.

B2 Sources of income

B2-1 Rates and annual charges

	2022 \$ '000	2021 \$ '000
Ordinary rates		
Residential	91	89
Farmland	993	972
Business	19	19
Less: pensioner rebates (mandatory)	(4)	(5)
Rates levied to ratepayers	1,099	1,075
Pensioner rate subsidies received	10	2
Total ordinary rates	1,109	1,077
Annual charges		
(pursuant to s.496, s.496A, s.496B, s.501 & s.611)		
Domestic waste management services	214	212
Water supply services	675	664
Sewerage services	452	441
Less: pensioner rebates (mandatory)	(14)	(14)
Annual charges levied	1,327	1,303
Pensioner subsidies received:		
– Water	2	2
– Sewerage	2	2
– Domestic waste management	4	4
Total annual charges	1,335	1,311
Total rates and annual charges	2,444	2,388
Timing of revenue recognition for rates and annual charges		
Rates and annual charges recognised at a point in time (2)	2,444	2,388
Total rates and annual charges	2,444	2,388

The timing column notation (above) identifies the revenue recognition pattern for material items of Council's revenue:

- (1) indicates income recognised under AASB 15 or AASB 1058 "over time",
 (2) indicates income recognised under AASB 15 or AASB 1058 "at a point in time".

Council has used 2019 year valuations provided by the NSW Valuer General in calculating its rates.

Accounting policy

Rates and annual charges are recognised as revenue at the beginning of the rating period to which they relate. Prepaid rates are recognised as a financial liability until the beginning of the rating period.

Pensioner rebates relate to reductions in rates and certain annual charges for eligible pensioners' place of residence in the local government council area that are not subsidised by the NSW Government.

Pensioner rate subsidies are received from the NSW Government to provide a contribution towards the pensioner rebates and are recognised within the underlying revenue item based on their substance.

B2-2 User charges and fees

	Timing	2022 \$ '000	2021 \$ '000
Specific user charges			
(per s.502 - specific 'actual use' charges)			
Water supply services	1	362	338
Waste management services (non-domestic)	1	59	72
Total specific user charges		421	410
Other user charges and fees			
(i) Fees and charges – statutory and regulatory functions (per s.608)			
Planning and building regulation	2	4	21
Private works – section 67	2	442	636
Regulatory / statutory fees	2	21	17
Section 10.7 certificates (EP&A Act)	2	5	4
Section 603 certificates	2	3	3
Other	2	1	2
Total fees and charges – statutory/regulatory		476	683
(ii) Fees and charges – other (incl. general user charges (per s.608))			
Centrelink agency fee	1	62	55
Cemeteries	2	30	23
Child care	1	–	168
Gravel pits		–	1
Community centres	2	18	22
Leaseback fees – Council vehicles	2	42	47
Transport for NSW works (state roads not controlled by Council)	1	248	1,010
Sundry sales	2	32	95
Tourism	2	2	3
Water connection fees	2	–	8
Youth services	2	18	21
Total fees and charges – other		452	1,453
Total other user charges and fees		928	2,136
Total user charges and fees		1,349	2,546
Timing of revenue recognition for user charges and fees			
User charges and fees recognised over time (1)		731	1,233
User charges and fees recognised at a point in time (2)		618	1,313
Total user charges and fees		1,349	2,546

Accounting policy

Revenue arising from user charges and fees is recognised when or as the performance obligation is completed and the customer receives the benefit of the goods / services being provided.

The performance obligation relates to the specific services which are provided to the customers and generally the payment terms are within 30 days of the provision of the service or in some cases such as caravan parks, the customer is required to pay on arrival or a deposit in advance. There is no material obligation for Council in relation to refunds or returns.

Where an upfront fee is charged such as joining fees for the leisure centre the fee is recognised on a straight-line basis over the expected life of the membership.

Licences granted by Council are all either short-term or low value and all revenue from licences is recognised at the time that the licence is granted rather than over the term of the licence.

B2-3 Other revenues

	Timing	2022 \$ '000	2021 \$ '000
Legal fees recovery – rates and charges (extra charges)	2	14	–
Commissions and agency fees	1	56	51
Diesel rebate	2	109	155
Insurance claims recoveries	2	314	115
Sales – general		4	–
Apprenticeships / trainees	2	30	31
Brewarrina News	2	–	1
OHS incentive/insurance discount	2	–	14
Rebates and Reimbursements	2	37	37
Other	2	53	29
Total other revenue		617	433

Timing of revenue recognition for other revenue

Other revenue recognised over time (1)	56	51
Other revenue recognised at a point in time (2)	561	382
Total other revenue	617	433

Accounting policy for other revenue

Where the revenue is earned for the provision of specified goods / services under an enforceable contract, revenue is recognised when or as the obligations are satisfied.

Statutory fees and fines are recognised as revenue when the service has been provided, the payment is received or when the penalty has been applied, whichever occurs first.

Other revenue is recorded when the payment is due, the value of the payment is notified, or the payment is received, whichever occurs first.

B2-4 Grants and contributions

	Notes	Timing	Operating 2022 \$ '000	Operating 2021 \$ '000	Capital 2022 \$ '000	Capital 2021 \$ '000
General purpose grants and non-developer contributions (untied)						
General purpose (untied)						
Current year allocation						
Financial assistance – general component		2	1,878	1,544	–	–
Financial assistance – local roads component		2	730	650	–	–
Payment in advance - future year allocation						
Financial assistance – general component		2	2,884	1,652	–	–
Financial assistance – local roads component		2	1,126	698	–	–
Amount recognised as income during current year			6,618	4,544	–	–
Special purpose grants and non-developer contributions (tied)						
Cash contributions						
Bushfire and emergency services		1	439	–	–	10
Child care		2	–	9	–	–
Heritage and cultural		2	11	12	–	–
Library – per capita		2	49	49	–	–
Library – special projects		2	–	–	20	19
LIRS subsidy		2	–	–	3	6
Noxious weeds		2	34	34	–	–
Recreation and culture		1	17	115	1,303	1,944
Storm/flood damage		2	–	–	(211)	476
Community care services		2	252	172	7	–
Street lighting		2	13	29	–	–
Drought Communities Program		2	–	–	–	500
Transport (roads to recovery)		2	564	662	–	–
Transport (other roads and bridges funding)		1	–	–	19,679	21,805
Yeta correction centre		2	4	21	–	–
Other		2	(14)	14	–	–
Community services		2	10	3	–	–
Transport for NSW contributions (regional roads, block grant)		2	1,239	1,239	–	–
Water supplies (excl. section 64 contributions)		2	–	101	10	–
Total special purpose grants and non-developer contributions – cash			2,618	2,465	20,811	24,760
Non-cash contributions						
Yetta correction centre	C1-7	2	–	–	13,026	–
Total other contributions – non-cash			–	–	13,026	–
Total special purpose grants and non-developer contributions (tied)			2,618	2,465	33,837	24,760
Total grants and non-developer contributions			9,236	7,009	33,837	24,760
Comprising:						
– Commonwealth funding			7,182	5,706	1,092	3,726
– State funding			1,982	1,303	32,092	19,453
– Other funding			72	–	653	1,581
			9,236	7,009	33,837	24,760

B2-4 Grants and contributions (continued)

Unspent grants and contributions

Certain grants and contributions are obtained by Council on the condition they be spent in a specified manner or in a future period but which are not yet spent in accordance with those conditions are as follows:

	Operating 2022 \$ '000	Operating 2021 \$ '000	Capital 2022 \$ '000	Capital 2021 \$ '000
Unspent grants and contributions				
Unspent funds at 1 July	1,047	399	7,742	716
Add: Funds recognised as revenue in the reporting year but not yet spent in accordance with the conditions	349	1,369	292	290
Add: Funds received and not recognised as revenue in the current year	167	–	4,101	7,119
Less: Funds recognised as revenue in previous years that have been spent during the reporting year	(1,369)	(721)	(291)	(20)
Less: Funds received in prior year but revenue recognised and funds spent in current year	–	–	(7,289)	(363)
Unspent funds at 30 June	194	1,047	4,555	7,742
Contributions				
Unspent funds at 1 July	2	82	–	–
Add: contributions recognised as revenue in the reporting year but not yet spent in accordance with the conditions	–	–	–	–
Less: contributions recognised as revenue in previous years that have been spent during the reporting year	–	(80)	–	–
Unspent contributions at 30 June	2	2	–	–

Accounting policy

Grants and contributions – enforceable agreement with sufficiently specific performance obligations

Grant and contribution revenue from an agreement which is enforceable and contains sufficiently specific performance obligations is recognised as or when control of each performance obligations is transferred.

The performance obligations vary according to the agreement. Payment terms vary depending on the terms of the grant, cash is received upfront for some grants and on the achievement of certain payment milestones for others.

Performance obligations may be satisfied either at a point in time or over time and this is reflected in the revenue recognition pattern. Point in time recognition occurs when the beneficiary obtains control of the goods / services at a single time (e.g. completion of the project when a report / outcome is provided), whereas over time recognition is where the control of the services is ongoing throughout the project (e.g. provision of community health services through the year).

Where control is transferred over time, generally the input methods being either costs or time incurred are deemed to be the most appropriate methods to reflect the transfer of benefit.

Capital grants

Capital grants received by Council under an enforceable contract for the acquisition or construction of infrastructure, property, plant and equipment to identified specifications which will be under Council's control on completion are recognised as revenue as and when the obligation to construct or purchase is completed.

For construction projects, this is generally as the construction progresses in accordance with costs incurred since this is deemed to be the most appropriate measure of the completeness of the construction project.

For acquisitions of assets, the revenue is recognised when the asset is acquired and controlled by the Council.

B2-4 Grants and contributions (continued)

Other grants and contributions

Assets, including cash, received from other grants and contributions are recognised at fair value when the asset is received. Council considers whether there are any related liability or equity items associated with the asset which are recognised in accordance with the relevant accounting standard.

Once the assets and liabilities have been recognised then income is recognised for any remaining asset value at the time that the asset is received.

B2-5 Interest and investment income

	2022 \$ '000	2021 \$ '000
Interest on financial assets measured at amortised cost		
– Overdue rates and annual charges (incl. special purpose rates)	32	16
– Cash and investments	92	40
Total interest and investment income (losses)	124	56
Interest and investment income is attributable to:		
Unrestricted investments/financial assets:		
Overdue rates and annual charges (general fund)	–	3
General Council cash and investments	91	37
Restricted investments/funds – external:		
Water fund operations	20	8
Sewerage fund operations	8	4
Domestic waste management operations	5	4
Total interest and investment income	124	56

Accounting policy

Interest income is recognised using the effective interest rate at the date that interest is earned. Dividends are recognised as income in profit or loss unless the dividend clearly represents a recovery of part of the cost of the investment.

B2-6 Other income

	Notes	2022 \$ '000	2021 \$ '000
Rental income			
Other lease income			
Hire of Council owned property		125	126
Total other lease income		125	126
Total rental income	C2-2	125	126
Total other income		125	126

B3 Costs of providing services

B3-1 Employee benefits and on-costs

	2022 \$ '000	2021 \$ '000
Salaries and wages	5,292	5,234
Employee leave entitlements (ELE)	985	761
Superannuation	490	505
Workers' compensation insurance	356	236
Fringe benefit tax (FBT)	71	82
Total employee costs	7,194	6,818
Less: capitalised costs	(1,677)	(1,535)
Total employee costs expensed	5,517	5,283
Number of 'full-time equivalent' employees (FTE) at year end	72	96
Number of 'full-time equivalent' employees (FTE) at year end (incl. vacancies)	79	99

Accounting policy

Employee benefit expenses are recorded when the service has been provided by the employee.

Retirement benefit obligations

All employees of the Council are entitled to benefits on retirement, disability or death. Council contributes to various defined benefit plans and defined contribution plans on behalf of its employees.

Superannuation plans

Contributions to defined contribution plans are recognised as an expense as they become payable. Prepaid contributions are recognised as an asset to the extent that a cash refund or a reduction in the future payments is available.

Council participates in a defined benefit plan under the Local Government Superannuation Scheme, however, sufficient information to account for the plan as a defined benefit is not available and therefore Council accounts for its obligations to defined benefit plans on the same basis as its obligations to defined contribution plans, i.e. as an expense when it becomes payable – refer to Note E3-1 for more information.

B3-2 Materials and services

	Notes	2022 \$ '000	2021 \$ '000
Raw materials and consumables		505	497
Contractor and consultancy costs		210	215
Audit Fees ¹	F2-1	64	54
Previously other expenses:			
Councillor and Mayoral fees and associated expenses	F1-2	148	141
Advertising		49	83
Bank charges		5	5
Cleaning		126	111
Computer software charges		158	173
Election expenses		25	—
Electricity and heating		199	201
Insurance		428	466
Office expenses (including computer expenses)		—	1
Postage		9	10
Printing and stationery		31	39
Street lighting		67	40
Subscriptions and publications		137	163
Telephone and communications		51	50
Valuation fees		9	9
Yetta Farm operations		97	31
Travel expenses		89	142
Registration costs		143	144
Training costs (other than salaries and wages)		166	213
Other expenses		248	288
Aboriginal Communities Program Costs		278	360
Legal expenses:			
– Legal expenses: debt recovery		13	—
Total materials and services		3,255	3,436
Total materials and services		3,255	3,436

B3-3 Borrowing costs

Interest bearing liability costs

Interest on loans	67	75
Total interest bearing liability costs	67	75
Total borrowing costs expensed	67	75

Accounting policy

Borrowing costs incurred for the construction of any qualifying asset are capitalised during the period of time that is required to complete and prepare the asset for its intended use or sale. Other borrowing costs are expensed as incurred.

B3-4 Depreciation, amortisation and impairment of non-financial assets

	Notes	2022 \$ '000	2021 \$ '000
Depreciation and amortisation			
Plant and equipment		1,395	1,287
Office equipment		51	45
Furniture and fittings		10	11
Infrastructure:	C1-7		
– Buildings – non-specialised		38	37
– Buildings – specialised		319	313
– Other structures		111	99
– Roads		1,531	1,118
– Bridges		205	179
– Footpaths		32	27
– Stormwater drainage		23	23
– Water supply network		542	390
– Sewerage network		195	155
– Swimming pools		60	57
– Bulk earthworks – levee bank		40	40
– Airport		54	64
– Other open space/recreational assets		22	15
Less: capitalised costs		(757)	(752)
Total depreciation and amortisation costs		3,871	3,108
Impairment / revaluation decrement of non-financial assets			
Non-current assets held for sale	C1-6	–	362
Total IPPE impairment / revaluation decrement costs charged to Income Statement		–	362
Total depreciation, amortisation and impairment for non-financial assets		3,871	3,470

Accounting policy

Depreciation and amortisation

Depreciation and amortisation are calculated using the straight line method to allocate their cost, net of their residual values, over their estimated useful lives. Useful lives are included in Note C1-7 for IPPE assets.

Depreciation is capitalised where in-house assets have contributed to new assets.

B3-5 Other expenses

	Notes	2022 \$ '000	2021 \$ '000
Impairment of receivables			
Other		83	(23)
Total impairment of receivables	C1-3	83	(23)
Other			
Contributions/levies to other levels of government			
– NSW fire brigade levy		19	26
– NSW rural fire service levy		149	102
Donations, contributions and assistance to other organisations (Section 356)		28	5
– Moree regional library		53	53
Total other		249	186
Total other expenses		332	163

Accounting policy

Other expenses are recorded on an accruals basis when Council has an obligation for the expenses.

Impairment expenses are recognised when identified.

B4 Gains or losses**B4-1 Gain or loss from the disposal, replacement and de-recognition of assets**

	Notes	2022 \$ '000	2021 \$ '000
Gain (or loss) on disposal of plant and equipment	C1-7		
Proceeds from disposal – plant and equipment		12	169
Less: carrying amount of plant and equipment assets sold/written off		(119)	(80)
Gain (or loss) on disposal		(107)	89
Gain (or loss) on disposal of infrastructure	C1-7		
Proceeds from disposal of infrastructures		2	–
Less: carrying amount of infrastructure assets sold/written off		(11)	(34)
Gain (or loss) on disposal		(9)	(34)
Net gain (or loss) from disposal of assets		(116)	55

Accounting policy

Gains and losses on disposals are determined by comparing proceeds with carrying amount. The gain or loss on sale of an asset is determined when control of the asset has irrevocably passed to the buyer and the asset is de-recognised.

B5 Performance against budget

B5-1 Material budget variations

Council's original budget was adopted by the Council on 25/06/2021 and is not required to be audited. The original projections on which the budget was based have been affected by a number of factors. These include state and federal government decisions, including new grant programs, changing economic activity, environmental factors, and by decisions made by Council.

While these General Purpose Financial Statements include the original budget adopted by Council, the Act requires Council to review its financial budget on a quarterly basis, so it is able to manage the variation between actuals and budget that invariably occur during the year.

Material variations of more than 10% between original budget and actual results or where the variance is considered material by nature are explained below.

Variation Key: **F** = Favourable budget variation, **U** = Unfavourable budget variation.

\$ '000	2022 Budget	2022 Actual	2022 ----- Variance -----	
Revenues				
Rates and annual charges	2,434	2,444	10	0% F
User charges and fees	2,671	1,349	(1,322)	(49)% U
This variance is attributed by the deferral of RMCC-Works Orders.				
Other revenues	451	617	166	37% F
The favourable variance is attributed by the insurance claims, which were not anticipated when the original budget was prepared.				
Operating grants and contributions	7,043	9,236	2,193	31% F
At the time of the original budget's preparation, new operating grants received throughout the year were not confirmed .				
Capital grants and contributions	24,938	33,837	8,899	36% F
At the time of the original budget's preparation, new capital grants received throughout the year were not confirmed .				
Interest and investment revenue	90	124	34	38% F
Interest on investment for original budget was forecasted based on the low interest rate and historical data of cash flows from grant- funded project. However, the favourable variance was brought about by new grants that were paid in advance and rising interest rates towards the end of fiscal year.				
Other income	124	125	1	1% F

B5-1 Material budget variations (continued)

\$ '000	2022 Budget	2022 Actual	2022 ----- Variance -----	
Expenses				
Employee benefits and on-costs	5,345	5,517	(172)	(3)% U
Materials and services	3,372	3,255	117	3% F
Deferring RMCC Work Orders has resulted in lower expenses.				
Borrowing costs	68	67	1	1% F
Depreciation, amortisation and impairment of non-financial assets	3,447	3,871	(424)	(12)% U
Depreciation of new constructed assets were not factored into the original budget.				
Other expenses	287	332	(45)	(16)% U
The variance is related to a number of write-offs which were not anticipated in the original budget.				
Statement of cash flows				
Cash flows from operating activities	28,132	28,160	28	0% F
Cash flows from investing activities	(27,954)	(22,852)	5,102	(18)% F
At the time of the original budget's preparation, the cash flows from new capital grants that were paid in advance were not known .				
Cash flows from financing activities	(158)	(167)	(9)	6% U

C Financial position

C1 Assets we manage

C1-1 Cash and cash equivalents

	2022 \$ '000	2021 \$ '000
Cash assets		
Cash on hand and at bank	288	847
Cash equivalent assets		
– Deposits at call	2,000	6,000
– Short-term deposits	18,700	9,000
Total cash and cash equivalents	20,988	15,847

Reconciliation of cash and cash equivalents

Total cash and cash equivalents per Statement of Financial Position	20,988	15,847
Balance as per the Statement of Cash Flows	20,988	15,847

Accounting policy

For Statement of Cash Flow presentation purposes, cash and cash equivalents include: cash on hand; deposits held at call with financial institutions; other short-term, highly liquid investments with original maturities of three months or less that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value; and bank overdrafts. Bank overdrafts are shown within borrowings in current liabilities on the Statement of Financial Position.

C1-2 Restricted and allocated cash, cash equivalents and investments

	2022 \$ '000	2021 \$ '000
(a) Externally restricted cash, cash equivalents and investments		
Total cash, cash equivalents and investments	20,988	15,847
Less: Externally restricted cash, cash equivalents and investments	(8,441)	(12,255)
Cash, cash equivalents and investments not subject to external restrictions	12,547	3,592
External restrictions		
External restrictions – included in liabilities		
External restrictions included in cash, cash equivalents and investments above comprise:		
Specific purpose unexpended grants – general fund	3,766	7,119
External restrictions – included in liabilities	3,766	7,119
External restrictions – other		
External restrictions included in cash, cash equivalents and investments above comprise:		
Transport for NSW contributions	–	365
Specific purpose unexpended grants – (GF)	985	1,307
Water supplies – (bank)	2,033	1,908
Sewerage services – (bank)	1,590	1,417
Domestic waste management	67	139
External restrictions – other	4,675	5,136
Total external restrictions	8,441	12,255

Cash, cash equivalents and investments subject to external restrictions are those which are only available for specific use by Council due to a restriction placed by legislation or third-party contractual agreement.

C1-2 Restricted and allocated cash, cash equivalents and investments (continued)

	2022 \$ '000	2021 \$ '000
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(b) Internal allocations

Cash, cash equivalents and investments not subject to external restrictions

12,547	3,592
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Less: Internally restricted cash, cash equivalents and investments

(12,107)	(3,528)
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Unrestricted and unallocated cash, cash equivalents and investments

440	64
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Internal allocations

At 30 June, Council has internally allocated funds to the following:

Infrastructure replacement	7,000	300
Employees leave entitlement	1,097	878
Prepaid financial assistance grant – general	2,884	1,652
Prepaid financial assistance grant – roads	1,126	698
Total internal allocations	12,107	3,528

Cash, cash equivalents and investments not subject to external restrictions may be internally allocated by resolution or policy of the elected Council.

	2022 \$ '000	2021 \$ '000
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(c) Unrestricted and unallocated

Unrestricted and unallocated cash, cash equivalents and investments	440	64
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C1-3 Receivables

	2022 Current \$ '000	2022 Non-current \$ '000	2021 Current \$ '000	2021 Non-current \$ '000
Rates and annual charges	511	–	494	–
Interest and extra charges	113	–	106	–
User charges and fees	521	–	558	–
Accrued revenues				
– Interest on investments	49	–	2	–
Government grants and subsidies	47	–	4,627	–
Net GST receivable	135	–	279	–
Total	1,376	–	6,066	–
Less: provision for impairment				
Rates and annual charges	(373)	–	(335)	–
Interest and extra charges	(90)	–	(81)	–
User charges and fees	(133)	–	(108)	–
Total provision for impairment – receivables	(596)	–	(524)	–
Total net receivables	780	–	5,542	–

Externally restricted receivables

Water supply

– Rates and availability charges	305	–	121	–
– Other	–	–	215	–

Sewerage services

– Rates and availability charges	59	–	57	–
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Domestic waste management

	98	–	92	–
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Total external restrictions

	462	–	485	–
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Unrestricted receivables

	318	–	5,057	–
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Total net receivables	780	–	5,542	–
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	2022 \$ '000	2021 \$ '000
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Movement in provision for impairment of receivables

Balance at the beginning of the year (calculated in accordance with AASB 139)	524	591
+ new provisions recognised during the year	72	31
– amounts already provided for and written off this year	–	(98)
Balance at the end of the year	596	524

C1-3 Receivables (continued)

Accounting policy

Receivables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method, less provision for impairment. Receivables are generally due for settlement within 30 days.

Impairment

Impairment of financial assets measured at amortised cost is recognised on an expected credit loss (ECL) basis.

When determining whether the credit risk of a financial asset has increased significantly since initial recognition, and when estimating ECL, the Council considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis based on Council's historical experience and informed credit assessment, and including forward-looking information.

When considering the ECL for rates debtors, Council takes into account that unpaid rates represent a charge against the rateable property that will be recovered when the property is next sold. For non-rates debtors, Council uses the presumption that an asset which is more than 30 days past due has seen a significant increase in credit risk.

The Council uses the presentation that a financial asset is in default when:

- the other party is unlikely to pay its credit obligations to the Council in full, without recourse by the Council to actions such as realising security (if any is held) or
- the financial assets (for non-rates debtors) are more than 90 days past due.

Credit losses are measured as the present value of the difference between the cash flows due to the entity in accordance with the contract, and the cash flows expected to be received. This is applied using a probability weighted approach.

On initial recognition of the asset, an estimate of the expected credit losses for the next 12 months is recognised. Where the asset has experienced significant increase in credit risk then the lifetime losses are estimated and recognised.

Council uses the simplified approach for trade receivables where the expected lifetime credit losses are recognised on day 1.

There has been no change in the estimation techniques or significant assumptions made during the current reporting period.

The Council writes off a trade receivable when there is information indicating that the debtor is in severe financial difficulty and there is no realistic prospect of recovery, e.g. when the debtor has been placed under liquidation or has entered into bankruptcy proceedings, or when the receivables are over 5 years past due, whichever occurs first.

None of the receivables that have been written off are subject to enforcement activity.

Where the Council renegotiates the terms of receivables due from certain customers, the new expected cash flows are discounted at the original effective interest rate and any resulting difference to the carrying value is recognised in profit or loss.

Rates and annual charges outstanding are secured against the property.

C1-4 Inventories

	2022 Current \$ '000	2022 Non-current \$ '000	2021 Current \$ '000	2021 Non-current \$ '000
(i) Inventories at cost				
Stores and materials	202	–	183	–
Total inventories at cost	202	–	183	–
Total inventories	202	–	183	–

Accounting policy

Raw materials and stores, work in progress and finished goods

Raw materials and stores, work in progress and finished goods are stated at the lower of cost and net realisable value. Costs are assigned to individual items of inventory on the basis of weighted average costs. Costs of purchased inventory are determined after deducting rebates and discounts. Net realisable value is the estimated selling price in the ordinary course of business less the estimated costs of completion and the estimated costs necessary to make the sale.

C1-5 Contract assets

	2022 Current \$ '000	2022 Non-current \$ '000	2021 Current \$ '000	2021 Non-current \$ '000
Contract assets	2,910	–	4,489	–
Total contract assets	2,910	–	4,489	–

Contract assets

Contract Assets under AASB 15	1,025	–	773	–
Grant Contract Asset under AASB 1058 (asset exemption)	1,518	–	3,702	–
Accrued Income under AASB 1058	367	–	14	–
Total contract assets	2,910	–	4,489	–

Significant changes in contract assets

Contract Assets relating to work for external parties (AASB 15)

No significant changes.

Grant Contract Assets - work related to infrastructure grants (AASB 1058 - Asset Exemption)

Drop was mostly due to payments received for works done in the previous year.

Accrued Income (AASB 1058)

Increase is a result of accrual for works performed in 2022 financial year to remediate damages caused by November 2021 flood events.

Accounting policy

Contract assets

Contract assets represent Councils right to payment in exchange for goods or services the Council has transferred to a customer when that right is conditional on something other than the passage of time.

Contract assets arise when the amounts billed to customers are based on the achievement of various milestones established in the contract and therefore the amounts recognised as revenue in a given period do not necessarily coincide with the amounts billed to or certified by the customer. Once an invoice or payment claim is raised or the relevant milestone is reached, Council recognises a receivable.

Impairment of contract assets is assessed using the simplified expected credit loss model where lifetime credit losses are recognised on initial recognition.

C1-6 Non-current assets classified as held for sale

	2022 Current \$ '000	2022 Non-current \$ '000	2021 Current \$ '000	2021 Non-current \$ '000
Disposal group assets held for sale				
a. Child care centre				
– Property: land, building and other structures	–	–	151	–
Total disposal groups held for sale	–	–	151	–
Total non-current assets classified as held for sale	–	–	151	–

Details of assets and disposal groups

Accounting policy

Non-current assets (or disposal groups) are classified as held for sale if their carrying amount will be recovered principally through a sale transaction rather than through continued use and are measured at the lower of their carrying amount and fair value less costs to sell.

Non-current assets (including those that are part of a disposal group) are not depreciated or amortised while they are classified as held for sale.

C1-7 Infrastructure, property, plant and equipment

By aggregated asset class	At 1 July 2021			Asset movements during the reporting period								At 30 June 2022		
	Gross carrying amount \$ '000	Accumulated depreciation and impairment \$ '000	Net carrying amount \$ '000	Additions renewals ⁽¹⁾ \$ '000	Additions new assets \$ '000	Carrying value of disposals \$ '000	Depreciation expense \$ '000	WIP transfers \$ '000	Contributed (from Note B2-4) \$ '000	Transfers to assets held for sale \$ '000	Revaluation increments to equity (ARR) \$ '000	Gross carrying amount \$ '000	Accumulated depreciation and impairment \$ '000	Net carrying amount \$ '000
Capital work in progress	2,975	–	2,975	70	174	–	–	(2,717)	–	–	–	502	–	502
Plant and equipment	10,871	(5,299)	5,572	1,028	13	(119)	(1,395)	–	305	–	–	12,121	(6,717)	5,404
Office equipment	443	(223)	220	24	–	–	(51)	–	–	–	–	466	(273)	193
Furniture and fittings	176	(145)	31	–	–	–	(10)	–	–	–	–	176	(155)	21
Land:														
– Operational land	748	–	748	–	–	(1)	–	–	790	–	95	1,632	–	1,632
– Community land	202	–	202	–	–	–	–	–	–	–	26	228	–	228
Infrastructure:														
– Buildings – non-specialised	1,476	(99)	1,377	–	342	–	(38)	325	–	–	224	2,391	(161)	2,230
– Buildings – specialised	20,439	(5,596)	14,843	447	–	(10)	(319)	226	9,837	–	2,430	37,320	(9,866)	27,454
– Other structures	2,345	(704)	1,641	84	219	–	(111)	641	2,094	–	139	6,890	(2,183)	4,707
– Roads	121,405	(18,281)	103,124	20,366	–	–	(1,531)	1,251	–	–	10,980	156,144	(21,954)	134,190
– Bridges	20,525	(4,686)	15,839	–	–	–	(205)	–	–	–	1,689	22,743	(5,420)	17,323
– Footpaths	2,561	(647)	1,914	–	53	–	(32)	–	–	–	203	2,890	(752)	2,138
– Bulk earthworks – levee bank	5,529	(2,273)	3,256	–	–	–	(40)	–	–	–	348	6,127	(2,563)	3,564
– Stormwater drainage	1,610	(955)	655	–	–	–	(23)	–	–	–	42	1,718	(1,044)	674
– Water supply network	21,310	(9,701)	11,609	113	–	–	(542)	132	–	–	2,130	22,800	(9,358)	13,442
– Sewerage network	12,044	(5,095)	6,949	1	–	–	(195)	5	–	–	687	13,023	(5,576)	7,447
– Swimming pools	2,422	(1,049)	1,373	–	265	–	(60)	–	–	–	120	2,907	(1,209)	1,698
– Other open space/recreational assets	1,024	(114)	910	–	21	–	(22)	137	–	–	80	1,273	(147)	1,126
– Airport	3,939	(1,605)	2,334	–	–	–	(54)	–	–	–	266	4,399	(1,853)	2,546
Total infrastructure, property, plant and equipment	232,044	(56,472)	175,572	22,133	1,087	(130)	(4,628)	–	13,026	–	19,459	295,750	(69,231)	226,519

(1) Renewals are defined as the replacement of existing assets (as opposed to the acquisition of new assets).

C1-7 Infrastructure, property, plant and equipment (continued)

By aggregated asset class	At 1 July 2020			Asset movements during the reporting period							At 30 June 2021		
	Gross carrying amount \$ '000	Accumulated depreciation and impairment \$ '000	Net carrying amount \$ '000	Additions renewals ¹ \$ '000	Additions new assets \$ '000	Carrying value of disposals \$ '000	Depreciation expense \$ '000	WIP transfers \$ '000	Transfers to assets held for sale \$ '000	Revaluation increments to equity (ARR) \$ '000	Gross carrying amount \$ '000	Accumulated depreciation and impairment \$ '000	Net carrying amount \$ '000
Capital work in progress	1,503	–	1,503	2,375	601	–	–	(1,504)	–	–	2,975	–	2,975
Plant and equipment	9,496	(4,338)	5,158	1,781	–	(80)	(1,287)	–	–	–	10,871	(5,299)	5,572
Office equipment	358	(178)	180	58	–	–	(45)	27	–	–	443	(223)	220
Furniture and fittings	178	(136)	42	–	–	–	(11)	–	–	–	176	(145)	31
Land:													
– Operational land	754	–	754	–	3	–	–	–	(9)	–	748	–	748
– Community land	202	–	202	–	–	–	–	–	–	–	202	–	202
Infrastructure:													
– Buildings – non-specialised	1,452	(62)	1,390	23	–	–	(37)	1	–	–	1,476	(99)	1,377
– Buildings – specialised	19,416	(5,457)	13,959	354	545	–	(313)	773	(475)	–	20,439	(5,596)	14,843
– Other structures	2,020	(553)	1,467	16	137	–	(99)	–	(29)	149	2,345	(704)	1,641
– Roads	103,001	(17,163)	85,838	17,757	–	–	(1,118)	647	–	–	121,405	(18,281)	103,124
– Bridges	17,904	(4,507)	13,397	2,601	–	–	(179)	20	–	–	20,525	(4,686)	15,839
– Footpaths	2,021	(620)	1,401	–	540	–	(27)	–	–	–	2,561	(647)	1,914
– Stormwater drainage	1,611	(933)	678	–	–	–	(23)	–	–	–	1,610	(955)	655
– Water supply network	21,117	(9,224)	11,893	–	–	–	(390)	–	–	106	21,310	(9,701)	11,609
– Sewerage network	11,935	(4,894)	7,041	–	–	–	(155)	–	–	63	12,044	(5,095)	6,949
– Swimming pools	1,813	(936)	877	–	426	(34)	(57)	36	–	125	2,422	(1,049)	1,373
– Bulk earthworks – levee bank	5,529	(2,233)	3,296	–	–	–	(40)	–	–	–	5,529	(2,273)	3,256
– Airport	3,939	(1,541)	2,398	–	–	–	(64)	–	–	–	3,939	(1,605)	2,334
– Other open space/recreational assets	556	(89)	467	–	375	–	(15)	–	–	83	1,024	(114)	910
Total infrastructure, property, plant and equipment	204,805	(52,864)	151,941	24,965	2,627	(114)	(3,860)	–	(513)	526	232,044	(56,472)	175,572

(1) Renewals are defined as the replacement of existing assets (as opposed to the acquisition of new assets).

C1-7 Infrastructure, property, plant and equipment (continued)

Accounting policy

Infrastructure, property, plant and equipment are held at fair value. Independent comprehensive valuations are performed at least every five years, however the carrying amount of assets is assessed by Council at each reporting date to confirm that it is not materially different from current fair value.

Water and sewerage network assets are indexed at each reporting period in accordance with the Rates Reference Manual issued by Department of Industry (DoI) – Water.

Increases in the carrying amounts arising on revaluation are credited to the revaluation reserve. To the extent that the increase reverses a decrease previously recognising profit or loss relating to that asset class, the increase is first recognised as profit or loss. Decreases that reverse previous increases of assets in the same class are first charged against revaluation reserves directly in equity to the extent of the remaining reserve attributable to the class; all other decreases are charged to the Income Statement.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to Council and the cost of the item can be measured reliably. All other repairs and maintenance are charged to the Income Statement during the financial period in which they are incurred.

Capitalisation Thresholds

Items of infrastructure, property, plant and equipment are not capitalised unless their cost of acquisition exceeds the following:

Land	100% Capitalised
Plant and Equipment	>\$5,000
Buildings and Land Improvements	>\$5,000
Water and Sewer Assets	>\$5,000
Stormwater Assets	>\$5,000
Transport Assets	>\$5,000
Other Infrastructure Assets	>\$5,000

When infrastructure, property, plant and equipment are acquired by Council for nil or nominal consideration, the assets are initially recognised at their fair value at acquisition date.

Depreciation

Land is not depreciated. Depreciation on other assets is calculated using the straight-line method to allocate their cost, net of their residual values, over their estimated useful lives as follows:

Plant and equipment	Years	Other equipment	Years
Office equipment	5 to 10	Playground equipment	5 to 15
Office furniture	10 to 20	Benches, seats etc.	10 to 20
Computer equipment	4		
Vehicles	5 to 8	Buildings	
Heavy plant/road making equipment	5 to 8	Buildings: masonry	50 to 100
Other plant and equipment	5 to 15	Buildings: other	20 to 40
Water and sewer assets		Stormwater assets	
Dams and reservoirs	80 to 100	Drains	80 to 100
Bores	20 to 40	Culverts	50 to 80
Reticulation pipes: PVC	70 to 80	Flood control structures	80 to 100
Reticulation pipes: other	25 to 75		
Pumps and telemetry	15 to 20		
Transportation assets		Other infrastructure assets	
Sealed roads: surface	20	Bulk earthworks	100
Sealed roads: structure	50	Swimming pools	5 to 60
Unsealed roads	20	Unsealed roads	20
Bridge: concrete	100	Other open space/recreational assets	20
Bridge: other	50	Other infrastructure	20
Road pavements	60		
Kerb, gutter and footpaths	40		

C1-7 Infrastructure, property, plant and equipment (continued)

The assets' residual values and useful lives are reviewed, and adjusted if appropriate, at each reporting date.

Land under roads

Land under roads is land under roadways and road reserves including land under footpaths, nature strips and median strips.

Council has elected not to recognise land under roads acquired before 1 July 2008. Land under roads acquired after 1 July 2008 is recognised in accordance with the IPPE accounting policy.

Crown reserves

Crown reserves under Council's care and control are recognised as assets of the Council. While ownership of the reserves remains with the Crown, Council retains operational control of the reserves and is responsible for their maintenance and use in accordance with the specific purposes to which the reserves are dedicated.

Improvements on Crown reserves are also recorded as assets, while maintenance costs incurred by Council and revenues relating to the reserves are recognised within Council's Income Statement.

Rural Fire Service assets

Under Section 119 of the *Rural Fire Services Act 1997 (NSW)*, "all firefighting equipment purchased or constructed wholly or from money to the credit of the Fund is to be vested in the council of the area for or on behalf of which the firefighting equipment has been purchased or constructed".

Council has assessed the value of the rural fire fighting assets ("Red Fleet") and determined the value of these assets are not material and have not recognised them in the financial statements.

C2 Leasing activities

C2-1 Council as a lessee

Council has leases over some assets including land and buildings. However, those leases are at below market value.

Leases at significantly below market value – concessionary / peppercorn leases

Council has a number of leases at significantly below market for land and buildings which are used for:

- workshop; and
- truckyard.

The leases are generally for 20 years and require payments of a maximum amount of \$3,000 per year. The use of the right-of-use asset is restricted by the lessors to specified community services which Council must provide, these services are detailed in the leases.

Council does not believe that any of the leases in place are individually material from a statement of financial position or performance perspective.

Accounting policy

At inception of a contract, Council assesses whether a lease exists – i.e. does the contract convey the right to control the use of an identified asset for a period of time in exchange for consideration?

Council has elected not to separate non-lease components from lease components for any class of asset and has accounted for payments as a single component.

At the lease commencement, Council recognises a right-of-use asset and associated lease liability for the lease term. The lease term includes extension periods where Council believes it is reasonably certain that the option will be exercised.

The right-of-use asset is measured using the cost model where cost on initial recognition comprises: the lease liability, initial direct costs, prepaid lease payments, estimated cost of removal and restoration, less any lease incentives received. The right-of-use asset is depreciated over the lease term on a straight-line basis and assessed for impairment in accordance with the impairment of asset accounting policy.

The lease liability is initially recognised at the present value of the remaining lease payments at the commencement of the lease. The discount rate is the rate implicit in the lease, however where this cannot be readily determined then the Council's incremental borrowing rate for a similar term with similar security is used.

Subsequent to initial recognition, the lease liability is measured at amortised cost using the effective interest rate method. The lease liability is re-measured when there is a lease modification, or change in estimate of the lease term or index upon which the lease payments are based (e.g. CPI).

Where the lease liability is re-measured, the right-of-use asset is adjusted to reflect the re-measurement.

Exceptions to lease accounting

Council has applied the exceptions to lease accounting for both short-term leases (i.e. leases with a term of less than or equal to 12 months) and leases of low-value assets. Council recognises the payments associated with these leases as an expense on a straight-line basis over the lease term.

Leases at significantly below market value / Concessionary leases

Council has elected to measure the right of use asset arising from the concessionary leases at cost which is based on the associated lease liability at initial recognition.

C2-2 Council as a lessor

Operating leases

Council leases out a number of properties to community groups. This property is held to meet community service delivery objectives rather than to earn rental or for capital appreciation. These leases have been classified as operating leases for financial reporting purposes and the assets are included as IPP&E in the Statement of Financial Position.

The amounts recognised in the Income Statement relating to operating leases where Council is a lessor are shown below:

	2022 \$ '000	2021 \$ '000
(i) Assets held as property, plant and equipment		
Lease income (excluding variable lease payments not dependent on an index or rate)	125	126
Total income relating to operating leases for Council assets	125	126

Accounting policy

When Council is a lessor, the lease is classified as either an operating or finance lease at inception date, based on whether substantially all of the risks and rewards incidental to ownership of the asset have been transferred to the lessee. If the risks and rewards have been transferred then the lease is classified as a finance lease, otherwise it is an operating lease.

When Council has a sub-lease over an asset and is the intermediate lessor then the head lease and sub-lease are accounted for separately. The classification of the sub-lease is based on the right-of-use asset which arises from the head lease rather than the useful life of the underlying asset.

If the lease contains lease and non-lease components, the non-lease components are accounted for in accordance with AASB 15 *Revenue from Contracts with Customers*.

The lease income is recognised on a straight-line basis over the lease term for an operating lease and as finance income using amortised cost basis for finance leases.

C3 Liabilities of Council

C3-1 Payables

	2022 Current \$ '000	2022 Non-current \$ '000	2021 Current \$ '000	2021 Non-current \$ '000
Goods and services – operating expenditure	210	–	780	–
Goods and services – capital expenditure	270	–	824	–
PAYG Tax Instalments	70	–	99	–
Accrued expenses:				
– Salaries and wages	175	–	185	–
– Interest on bonds and deposits	4	–	5	–
– Other expenditure accruals	–	–	1	–
Advances	186	51	185	46
Security bonds, deposits and retentions	137	–	105	–
Other	79	–	94	–
Total payables	1,131	51	2,278	46

Payables relating to restricted assets

	2022 Current \$ '000	2022 Non-current \$ '000	2021 Current \$ '000	2021 Non-current \$ '000
Externally restricted assets				
Water	6	–	1	–
Payables relating to externally restricted assets	6	–	1	–
Total payables relating to unrestricted assets	1,125	51	2,277	46
Total payables	1,131	51	2,278	46

Accounting policy

Council measures all financial liabilities initially at fair value less transaction costs, subsequently financial liabilities are measured at amortised cost using the effective interest rate method.

Payables

Payables represent liabilities for goods and services provided to Council prior to the end of financial year that are unpaid. The amounts are unsecured and are usually paid within 30 days of recognition.

C3-2 Contract Liabilities

		2022 Current \$ '000	2022 Non-current \$ '000	2021 Current \$ '000	2021 Non-current \$ '000
	Notes				
Grants and contributions received in advance:					
Unexpended capital grants (to construct Council controlled assets)	(i)	3,749	–	7,119	–
Unexpended operating grants (received prior to performance obligation being satisfied)	(ii)	17	–	–	–
Total grants received in advance		3,766	–	7,119	–
Total contract liabilities		3,766	–	7,119	–

Notes

(i) The funds received are under an enforceable contract which require Council to construct an identified asset which will be under Council's control on completion. The revenue is recognised as Council constructs the asset and the contract liability reflects the funding received which cannot yet be recognised as revenue. The revenue is expected to be recognised in the next 12 months.

(ii) The contract liability relates to grants received prior to the revenue recognition criteria in AASB 15 being satisfied since the performance obligations are ongoing.

Contract liabilities relating to restricted assets

	2022 Current \$ '000	2022 Non-current \$ '000	2021 Current \$ '000	2021 Non-current \$ '000
Externally restricted assets				
Unspent grants held as contract liabilities (excl. Water & Sewer)	3,766	–	7,119	–
Contract liabilities relating to externally restricted assets	3,766	–	7,119	–
Total contract liabilities relating to restricted assets	3,766	–	7,119	–
Total contract liabilities	3,766	–	7,119	–

Revenue recognised that was included in the contract liability balance at the beginning of the period

	2022 \$ '000	2021 \$ '000
Grants and contributions received in advance:		
Capital grants (to construct Council controlled assets)	7,119	363
Total revenue recognised that was included in the contract liability balance at the beginning of the period	7,119	363

Significant changes in contract liabilities

Drop in values year over year is a result of delivery of services promised at the end of last year.

Accounting policy

Contract liabilities are recorded when consideration is received from a customer / fund provider prior to Council transferring a good or service to the customer, Council presents the funds which exceed revenue recognised as a contract liability.

C3-3 Borrowings

	2022 Current \$ '000	2022 Non-current \$ '000	2021 Current \$ '000	2021 Non-current \$ '000
Loans – secured ¹	159	1,250	167	1,409
Total borrowings	159	1,250	167	1,409

(1) Loans are secured over the general rating income of Council.

Disclosures on liability interest rate risk exposures, fair value disclosures and security can be found in Note E1-1.

Borrowings relating to restricted assets

	2022 Current \$ '000	2022 Non-current \$ '000	2021 Current \$ '000	2021 Non-current \$ '000
Externally restricted assets				
Water	24	–	31	24
Borrowings relating to externally restricted assets	24	–	31	24
Total borrowings relating to restricted assets	24	–	31	24
Total borrowings relating to unrestricted assets	135	1,250	136	1,385
Total borrowings	159	1,250	167	1,409

(a) Changes in liabilities arising from financing activities

	2021		Non-cash movements				2022
	Opening Balance \$ '000	Cash flows \$ '000	Acquisition \$ '000	Fair value changes \$ '000	Acquisition due to change in accounting policy \$ '000	Other non-cash movement \$ '000	Closing balance \$ '000
Loans – secured	1,576	(167)	–	–	–	–	1,409
Total liabilities from financing activities	1,576	(167)	–	–	–	–	1,409

	2020		Non-cash movements				2021
	Opening Balance \$ '000	Cash flows \$ '000	Acquisition \$ '000	Fair value changes \$ '000	Acquisition due to change in accounting policy \$ '000	Other non-cash movement \$ '000	Closing balance \$ '000
Loans – secured	1,735	(159)	–	–	–	–	1,576
Total liabilities from financing activities	1,735	(159)	–	–	–	–	1,576

C3-3 Borrowings (continued)

(b) Financing arrangements

	2022 \$ '000	2021 \$ '000
Total facilities		
Credit cards/purchase cards	30	25
Total financing arrangements	30	25
Undrawn facilities		
– Credit cards/purchase cards	30	25
Total undrawn financing arrangements	30	25

Breaches and defaults

During the current and prior year, there were no defaults or breaches on any of the loans.

Accounting policy

Council measures all financial liabilities initially at fair value less transaction costs, subsequently financial liabilities are measured at amortised cost using the effective interest rate method.

Fees paid on the establishment of loan facilities are recognised as transaction costs of the loan to the extent that it is probable that some or all of the facility will be drawn down.

Borrowings are removed from the Statement of Financial Position when the obligation specified in the contract is discharged, cancelled or expired. The difference between the carrying amount of a financial liability that has been extinguished or transferred to another party and the consideration paid, including any non-cash assets transferred or liabilities assumed, is recognised in other income or borrowing costs.

C3-4 Employee benefit provisions

	2022 Current \$ '000	2022 Non-current \$ '000	2021 Current \$ '000	2021 Non-current \$ '000
Annual leave	393	–	354	–
Long service leave	668	78	524	98
Other leave – RDO	37	–	39	–
Total employee benefit provisions	1,098	78	917	98

Current employee benefit provisions not anticipated to be settled within the next twelve months

	2022 \$ '000	2021 \$ '000
--	-----------------	-----------------

The following provisions, even though classified as current, are not expected to be settled in the next 12 months.

Provisions – employees benefits	752	662
	752	662

Accounting policy

Employee benefit provisions are presented as current liabilities in the Statement of Financial Position if Council does not have an unconditional right to defer settlement for at least 12 months after the reporting date, regardless of when the actual settlement is expected to occur and therefore all annual leave and vested long service leave (or that which vests within 12 months) is presented as current.

Short-term obligations

Liabilities for wages and salaries (including non-monetary benefits, annual leave and accumulating sick leave expected to be wholly settled within 12 months after the end of the period in which the employees render the related service) are recognised in respect of employees' services up to the end of the reporting period and are measured at the amounts expected to be paid when the liabilities are settled. The liability for annual leave and accumulating sick leave is recognised in the provision for employee benefits. All other short-term employee benefit obligations are presented as payables.

Other long-term employee benefit obligations

The liability for long-service leave and annual leave that is not expected to be wholly settled within 12 months after the end of the period in which the employees render the related service is recognised in the provision for employee benefits and measured as the present value of expected future payments to be made in respect of services provided by employees up to the end of the reporting period using the projected unit credit method. Consideration is given to expected future wage and salary levels, experience of employee departures, and periods of service. Expected future payments are discounted using market yields at the end of the reporting period on national government bonds with terms to maturity and currency that match, as closely as possible, the estimated future cash outflows.

On-costs

The employee benefit provisions include the aggregate on-cost liabilities that will arise when payment of current employee benefits is made in future periods.

These amounts include superannuation, payroll tax and workers compensation expenses which will be payable upon the future payment of certain leave liabilities which employees are entitled to at the reporting period.

C4 Reserves

C4-1 Nature and purpose of reserves

IPPE Revaluation reserve

The infrastructure, property, plant and equipment (IPPE) revaluation reserve is used to record increments and decrements in the revaluation of infrastructure, property, plant and equipment.

D Council structure

D1 Results by fund

General fund refers to all Council activities other than water and sewer. All amounts disclosed in this note are gross i.e. inclusive of internal charges and recoveries made between the funds. Assets and liabilities shown in the water and sewer columns are restricted for use for these activities.

D1-1 Income Statement by fund

	General 2022 \$ '000	Water 2022 \$ '000	Sewer 2022 \$ '000
Income from continuing operations			
Rates and annual charges	1,206	754	484
User charges and fees	987	362	—
Interest and investment revenue	96	20	8
Other revenues	617	—	—
Grants and contributions provided for operating purposes	9,234	2	—
Grants and contributions provided for capital purposes	33,837	—	—
Other income	125	—	—
Total income from continuing operations	46,102	1,138	492
Expenses from continuing operations			
Employee benefits and on-costs	5,222	182	113
Materials and services	2,490	616	149
Borrowing costs	65	2	—
Depreciation, amortisation and impairment of non-financial assets	3,130	545	196
Other expenses	174	105	53
Net losses from the disposal of assets	116	—	—
Total expenses from continuing operations	11,197	1,450	511
Operating result from continuing operations	34,905	(312)	(19)
Net operating result for the year	34,905	(312)	(19)
Net operating result attributable to each council fund	34,905	(312)	(19)
Net operating result for the year before grants and contributions provided for capital purposes	1,068	(312)	(19)

D1-2 Statement of Financial Position by fund

	General 2022 \$ '000	Water 2022 \$ '000	Sewer 2022 \$ '000
ASSETS			
Current assets			
Cash and cash equivalents	17,365	2,033	1,590
Receivables	416	305	59
Inventories	202	—	—
Contract assets and contract cost assets	2,910	—	—
Other	26	—	—
Total current assets	20,919	2,338	1,649
Non-current assets			
Infrastructure, property, plant and equipment	205,216	13,696	7,607
Total non-current assets	205,216	13,696	7,607
Total assets	226,135	16,034	9,256
LIABILITIES			
Current liabilities			
Payables	1,125	6	—
Contract liabilities	3,766	—	—
Borrowings	135	24	—
Employee benefit provision	1,098	—	—
Total current liabilities	6,124	30	—
Non-current liabilities			
Payables	51	—	—
Borrowings	1,250	—	—
Employee benefit provision	78	—	—
Total non-current liabilities	1,379	—	—
Total liabilities	7,503	30	—
Net assets	218,632	16,004	9,256
EQUITY			
Accumulated surplus	158,890	2,905	846
Revaluation reserves	59,742	13,099	8,410
Council equity interest	218,632	16,004	9,256
Total equity	218,632	16,004	9,256

E Risks and accounting uncertainties

E1-1 Risks relating to financial instruments held

Council's overall risk management program focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on the financial performance of Council.

Council's objective is to maximise its return on cash and investments while maintaining an adequate level of liquidity and preserving capital. The finance team manage the cash and investments portfolio with the assistance of independent advisers. Council has an investment policy which complies with s 625 of the Act and the Ministerial Investment Order. The policy is regularly reviewed by Council and a monthly investment report is provided to Council setting out the make-up and performance of the portfolio as required by local government regulations.

Council does not engage in transactions expressed in foreign currencies and is therefore not subject to foreign currency risk.

Financial risk management is carried out by the finance team under policies approved by the Councillors.

The fair value of receivables, loans, investments and financial liabilities approximates the carrying amount. The risks associated with the financial instruments held are:

- interest rate risk – the risk that movements in interest rates could affect returns
- liquidity risk – the risk that Council will not be able to pay its debts as and when they fall due
- credit risk – the risk that a contracting entity will not complete its obligations under a financial instrument resulting in a financial loss to the Council.

Council manages these risks by diversifying its portfolio and only purchasing investments with high credit ratings or capital guarantees.

(a) Market risk – interest rate and price risk

	2022 \$ '000	2021 \$ '000
The impact on result for the year and equity of a reasonably possible movement in the price of investments held and interest rates is shown below. The reasonably possible movements were determined based on historical movements and economic conditions in place at the reporting date.		
Impact of a 1% movement in interest rates		
– Equity / Income Statement	196	143

E1-1 Risks relating to financial instruments held (continued)

(b) Credit risk

Council's major receivables comprise (i) rates and annual charges and (ii) user charges and fees.

Council manages the credit risk associated with these receivables by monitoring outstanding debt and employing stringent debt recovery procedures. Council also encourages ratepayers to pay their rates by the due date through incentives.

The credit risk for liquid funds and other short-term financial assets is considered negligible, since the counterparties are reputable banks with high quality external credit ratings.

There are no significant concentrations of credit risk, whether through exposure to individual customers, specific industry sectors and/or regions.

The level of outstanding receivables is reported to Council monthly and benchmarks are set and monitored for acceptable collection performance.

Council makes suitable provision for doubtful receivables as required and carries out credit checks on most non-rate debtors.

There are no material receivables that have been subjected to a re-negotiation of repayment terms.

Credit risk profile

Receivables – rates and annual charges

Credit risk on rates and annual charges is minimised by the ability of Council to recover these debts as a secured charge over the land; that is, the land can be sold to recover the debt. Council is also able to charge interest on overdue rates and annual charges at higher than market rates which further encourages payment.

	Not yet overdue \$ '000	overdue rates and annual charges < 5 years \$ '000	≥ 5 years \$ '000	Total \$ '000
2022				
Gross carrying amount	(112)	546	77	511
Expected loss rate (%)	0.00%	54.21%	100.00%	53.00%
ECL provision	–	296	77	373
2021				
Gross carrying amount	–	458	36	494
Expected loss rate (%)	0.00%	65.28%	100.00%	53.00%
ECL provision	–	299	36	335

Receivables - non-rates and annual charges

Council applies the simplified approach for non-rates debtors to provide for expected credit losses prescribed by AASB 9, which permits the use of the lifetime expected loss provision. To measure the expected credit losses, non-rates and annual charges debtors have been grouped based on shared credit risk characteristics and the days past due. The loss allowance provision as at 30 June 2022 is determined as follows. The expected credit losses incorporate forward-looking information.

	Not yet overdue \$ '000	0 - 30 days \$ '000	Overdue debts 31 - 60 days \$ '000	61 - 90 days \$ '000	> 91 days \$ '000	Total \$ '000
2022						
Gross carrying amount	3,522	102	6	–	145	3,775
Expected loss rate (%)	2.07%	5.00%	7.00%	10.00%	100.00%	5.92%
ECL provision	73	5	–	–	145	223
2021						
Gross carrying amount	8,143	1,361	124	359	74	10,061
Expected loss rate (%)	0.43%	5.00%	7.00%	10.00%	54.00%	1.86%
ECL provision	35	69	9	36	40	189

(1) 2021 figures were adjusted to include contract assets balances.

E1-1 Risks relating to financial instruments held (continued)

(c) Liquidity risk

Payables, lease liabilities and borrowings are both subject to liquidity risk; that is, the risk that insufficient funds may be on hand to meet payment obligations as and when they fall due.

Council manages this risk by monitoring its cash flow requirements and liquidity levels, and by maintaining an adequate cash buffer. Payment terms can be extended, and overdraft facilities drawn upon in extenuating circumstances.

Borrowings are also subject to interest rate risk: the risk that movements in interest rates could adversely affect funding costs. Council manages this risk through diversification of borrowing types, maturities and interest rate structures.

The finance team regularly reviews interest rate movements to determine if it would be advantageous to refinance or renegotiate part or all of the loan portfolio.

The timing of cash flows presented in the table below to settle financial liabilities reflects the earliest contractual settlement dates. The timing of expected outflows is not expected to be materially different from contracted cashflows.

The amounts disclosed in the table are the undiscounted contracted cash flows for non-lease liabilities (refer to Note C2-1(b) for lease liabilities) and therefore the balances in the table may not equal the balances in the Statement of Financial Position due to the effect of discounting.

	Weighted average interest rate %	Subject to no maturity \$ '000	payable in: ≤ 1 Year \$ '000	1 - 5 Years \$ '000	> 5 Years \$ '000	Total cash outflows \$ '000	Actual carrying values \$ '000
2022							
Payables	0.00%	137	994	51	–	1,182	1,182
Borrowings	4.91%	–	159	1,250	–	1,409	1,409
Total financial liabilities		137	1,153	1,301	–	2,591	2,591
2021							
Payables	0.00%	105	2,173	46	–	2,324	2,324
Borrowings	5.28%	–	167	1,409	–	1,576	1,576
Total financial liabilities		105	2,340	1,455	–	3,900	3,900

E2-1 Fair value measurement

The Council measures the following asset and liability classes at fair value on a recurring basis:

- Infrastructure, property, plant and equipment
- Financial assets and liabilities

The fair value of assets and liabilities must be estimated in accordance with various accounting standards for either recognition and measurement requirements or for disclosure purposes.

AASB 13 Fair Value Measurement requires all assets and liabilities measured at fair value to be assigned to a 'level' in the fair value hierarchy as follows:

Level 1: Unadjusted quoted prices in active markets for identical assets or liabilities that the entity can access at the measurement date.

Level 2: Inputs other than quoted prices included within level 1 that are observable for the asset or liability, either directly or indirectly.

Level 3: Inputs for the asset or liability that are not based on observable market data (unobservable inputs).

Fair value measurement hierarchy									
\$ '000	Notes	Date of latest valuation		Level 2 Significant observable inputs		Level 3 Significant unobservable inputs		Total	
		2022	2021	2022	2021	2022	2021	2022	2021
Infrastructure, property, plant and equipment	C1-7								
Plant and equipment		30/06/20	30/06/20	–	–	5,404	5,572	5,404	5,572
Office equipment		30/06/20	30/06/20	–	–	193	220	193	220
Furniture and fittings		30/06/20	30/06/20	–	–	21	31	21	31
Operational land		30/06/20	30/06/20	–	–	1,632	748	1,632	748
Community land		30/06/20	30/06/20	–	–	228	202	228	202
Buildings – non-specialised		30/06/18	30/06/18	2,230	1,377	–	–	2,230	1,377
Buildings – specialised		30/06/18	30/06/18	–	–	27,454	14,843	27,454	14,843
Other structures		30/06/21	30/06/21	–	–	4,707	1,641	4,707	1,641
Roads		30/06/20	30/06/20	–	–	134,190	103,124	134,190	103,124
Bridges		30/06/20	30/06/20	–	–	17,323	15,839	17,323	15,839
Footpaths		30/06/20	30/06/20	–	–	2,138	1,914	2,138	1,914
Bulk earthworks – Levee banks		30/06/20	30/06/20	–	–	3,564	3,256	3,564	3,256
Stormwater drainage		30/06/20	30/06/20	–	–	674	655	674	655
Water supply network		30/06/22	30/06/18	–	–	13,442	11,609	13,442	11,609
Sewerage network		30/06/22	30/06/18	–	–	7,447	6,949	7,447	6,949
Swimming pools		30/06/21	30/06/21	–	–	1,698	1,373	1,698	1,373
Other open spaces/recreational assets		30/06/21	30/06/21	–	–	1,126	910	1,126	910
Airports		30/06/20	30/06/20	–	–	2,546	2,334	2,546	2,334
Total infrastructure, property, plant and equipment				2,230	1,377	223,787	171,220	226,017	172,597

Valuation techniques

Where Council is unable to derive fair valuations using quoted market prices of identical assets (ie. level 1 inputs) Council instead utilises a spread of both observable inputs (level 2 inputs) and unobservable inputs (level 3 inputs).

The fair valuation techniques Council has employed while utilising level 2 and level 3 inputs are as follows:

Infrastructure, property, plant and equipment (IPPE)

There has been no change in valuation techniques during the reporting period.

The values of Plant and Equipment, Office Equipment, and Furniture and Fittings have been disclosed at cost due to the nature of these assets.

E2-1 Fair value measurement (continued)

All buildings and other structures were valued by an external registered valuer on the basis of fair value. The values include normal fixtures and fittings, internal finishes, electrical and mechanical services, fire / security, transportation, and roofing. The specialised buildings and other structures have no active market and have been classified as Level 3.

Roads, comprising roadway, roadside shoulders, kerb and guttering, have been valued on a rolling basis by Council's engineer on a fair value basis. This group has been classified as level 3 as market based evidence could not be supported.

Bridges, Footpaths, Stormwater Drainage, Levee Banks, Swimming Pools, Open Space and Recreation Assets, and Airports have all been externally valued on a fair value basis. As market based evidence was unable to be supported for these categories they have all been classified as level 3.

Water Supply Network and Sewerage Services Network have been externally valued by a qualified independent valuer on a fair value basis. They are classified as level 3 as market evidence was not supported. These assets have been indexed annually at an indexation rate supplied by the Department of Planning, Industry and Environment – Water.

Fair value measurements using significant unobservable inputs (level 3)

For changes in Level 3 input fair value asset classes refer to Note C1-7.

There were no transfers into or out of the Level 3 fair valuation hierarchy.

Valuation process and significant unobservable valuation inputs used (for level 2 and 3 fair value hierarchy asset classes)

Land - Values were determined with reference to the NSW Valuer General's 2019 land valuation.

All Other Level 2 and 3 Asset Classes

Where there was an active and liquid market as evidenced by sales transactions of similar property types, a Market Approach by way of Direct Comparison, Income Capitalisation or Summation methods was utilised.

These are accepted valuation methodologies under AASB 13. If a Market Approach is adopted, the building valuation is deemed to be a Level 2 input.

Direct comparison and summation methods involve analysis of sales evidence and comparisons with the subject taking into account matters such as method of construction, size, condition, age, land area and location. The land value is subtracted from the Market Value of the property to measure the building asset Fair Value.

For those assets not assessed under a Market Approach due to their predominantly specialised nature, a Current Replacement Cost (CRC) approach to valuation has been adopted, being an accepted valuation methodology under AASB 13. The CRC approach is deemed Level 3 methodology on the Fair Value Hierarchy.

Where there is no depth of market, as determined for the specified Brewarrina Shire Council assets, the net current value of an asset is the gross current value less accumulated depreciation to reflect the consumed or expired service potential of the asset.

Under this approach, the following process is adopted:

- Published/available market data for recent projects, and/or published cost guides are utilised to determine the estimated replacement cost (gross value) of the asset, including allowances for preliminaries and professional fees. This is considered a Level 2 input.
- A condition assessment is applied, which is based on factors such as the age of the asset, overall condition as noted by the Valuer during inspection, economic and/or functional obsolescence. The condition assessment directly translates to the level of depreciation applied. The conditions assessed are considered a Level 3 input.
- While the replacement cost of the assets could be supported by market supplied evidence (level 2), other unobservable inputs (such as estimates of residual value, useful life, asset condition) were also required (level 3).

To calculate the appropriate amount of accumulated depreciation, assets were either subject to a site inspection or an assessment to determine remaining useful life. Where site inspections were conducted (i.e. for visible aboveground assets), the assets were allocated a condition assessment, which was used to estimate remaining useful life.

Where site inspections were not conducted (i.e. for passive assets and active assets for which no site inspections were undertaken), the remaining useful life was calculated on asset age and estimated useful life.

E2-1 Fair value measurement (continued)

The valuation techniques used in the determination of fair values maximise the use of observable data where it is available and relies as little as possible on entity specifics. The disclosure of valuation estimates is designed to provide users with an insight into the judgements that have been made in the determination of fair values.

Infrastructure - Calculation of Current Replacement Cost

Water and Sewerage Infrastructure

The water assets were segregated into Systems; Reticulation, Raw Supply, Potable Storage, and Treatment assets; reticulation assets were not further componentised and consisted of mains, hydrants, stop valves and water meters. Other asset systems were componentised based on usage profile. Unit rates were applied based on similar recent project costs, unit rate databases, indices, Rawlinson's Construction rates and quotations.

The remaining system assets consisted of treatment, pumping and storage assets. These assets were componentised and valued individually, with allowances for complexity, size, function and site factors. These are generally totalled to a lump sum item and compared against recent similar projects and in-house databases to check for relativity, appropriateness and sensibility.

Location factors, soil type, weather conditions, raw material access and service level standards were assumed to be uniform across the council area.

Unit rates were increased depending on project complexity to allow for project overheads including survey, environmental and investigation costs, engineering design, planning and project management.

Road Infrastructure

The Roads infrastructure assets were classified as passive assets; passive assets were further componentised and consisted of Formation, Pavement and Seal for roads assets. Unit rates were applied based on similar recent project costs, unit rate databases, indices, Rawlinson's Construction rates and quotations.

Roads were segmented based on the main roads standard, these are categorised as Formed, Unformed and then further by sealed and unsealed types.

The Current Replacement Cost was calculated by reference to asset length and width for Formation and Seal and Depth for Pavements. Location Factors, soil type, weather conditions, raw material access and service level standards were assumed to be uniform across the council area.

Valuation Processes

Council's valuation policies and procedures are set out by the leadership team which comprises the General Manager, Finance and Admin Manager, and the Transport Manager. They are reviewed annually taking into consideration an analysis of movements in fair value and other relevant information. Non-recurring fair value measurements are made at the point of reclassification by a registered valuer.

Highest and best use

All of Council's non-financial assets are considered as being utilised for their highest and best use.

E3-1 Contingencies

The following assets and liabilities do not qualify for recognition in the Statement of Financial Position, but their knowledge and disclosure is considered relevant to the users of Council's financial report.

LIABILITIES NOT RECOGNISED

1. Guarantees

(i) Defined benefit superannuation contribution plans

Council is party to an Industry Defined Benefit Plan under the Local Government Superannuation Scheme, named The Local Government Superannuation Scheme – Pool B (the Scheme) which is a defined benefit plan that has been deemed to be a 'multi-employer fund' for purposes of AASB119 Employee Benefits for the following reasons:

- Assets are not segregated within the sub-group according to the employees of each sponsoring employer.
- The contribution rates have been the same for all sponsoring employers. That is, contribution rates have not varied for each sponsoring employer according to the experience relating to the employees of that sponsoring employer.
- Benefits for employees of all sponsoring employers are determined according to the same formulae and without regard to the sponsoring employer.
- The same actuarial assumptions are currently used in respect of the employees of each sponsoring employer.

Given the factors above, each sponsoring employer is exposed to the actuarial risks associated with current and former employees of other sponsoring employers, and hence shares in the associated gains and losses (to the extent that they are not borne by members).

Description of the funding arrangements.

Pooled Employers are required to pay future service employer contributions and past service employer contributions to the Fund.

The future service employer contributions were determined using the new entrant rate method under which a contribution rate sufficient to fund the total benefits over the working life-time of a typical new entrant is calculated. The current future service employer contribution rates are::

Division B	1.9 times member contributions for non-180 Point Members; Nil for 180 Point Members*
Division C	2.5% salaries
Division D	1.64 times member contributions

* For 180 Point Members, Employers are required to contribute 7.5% of salaries for the year ending 30 June 2022 (increasing to 8.0% in line with the increase in the Superannuation Guarantee) to these members' accumulation accounts, which are paid in addition to members' defined benefits.

The past service contribution for each Pooled Employer is a share of the total past service contributions of \$40 million for 1 July 2019 to 30 June 2021 and \$20.0 million per annum for 1 January to 31 December 2024, apportioned according to each employer's share of the accrued liabilities as at 30 June 2021. These past service contributions are used to maintain the adequacy of the funding position for the accrued liabilities.

The adequacy of contributions is assessed at each triennial actuarial investigation and monitored annually between triennials.

Description of the extent to which Council can be liable to the plan for other Council's obligations under the terms and conditions of the multi-employer plan

As stated above, each sponsoring employer (Council) is exposed to the actuarial risks associated with current and former employees of other sponsoring employers and hence shares in the associated gains and losses.

However, there is no relief under the Fund's trust deed for employers to walk away from their defined benefit obligations. Under limited circumstances, an employer may withdraw from the plan when there are no active members, on full payment of outstanding additional contributions. There is no provision for allocation of any surplus which may be present at the date of withdrawal of the Council.

There are no specific provisions under the Fund's trust deed dealing with deficits or surplus on wind-up.

E3-1 Contingencies (continued)

The amount of Council employer contributions to the defined benefit section of the Local Government Superannuation Scheme and recognised as an expense for the year ending 30 June 2022 was \$21,155.31. The last valuation of the Scheme was performed by Richard Boyfield FIAA as at 30 June 2021.

The amount of additional contributions included in the total employer contribution advised above is \$11,937.48. Council's expected contribution to the plan for the next annual reporting period is \$15,078.84.

The estimated employer reserves financial position for the Pooled Employers at 30 June 2022 is:

Employer reserves only *	\$millions	Asset Coverage
Assets	2,376.6	
Past Service Liabilities	2,380.7	99.8%
Vested Benefits	2,391.7	99.4%

* excluding member accounts and reserves in both assets and liabilities.

The Share of this deficit that is broadly attributed to Council is estimated to be in the order of 0.06% as at 30 June 2022.

Council's share of that deficiency cannot be accurately calculated as the Scheme is a mutual arrangement where assets and liabilities are pooled together for all member councils. For this reason, no liability for the deficiency has been recognised in Council's accounts. Council has a possible obligation that may arise should the Scheme require immediate payment to correct the deficiency.

The key economic long term assumptions used to calculate the present value of accrued benefits are:

Investment return	5.5% per annum
Salary inflation *	3.5% per annum
Increase in CPI	2.5% per annum

The contribution requirements may vary from the current rates if the overall sub-group experience is not in line with the actuarial assumptions in determining the funding program; however, any adjustment to the funding program would be the same for all sponsoring employers in the Pooled Employers group. Please note that the estimated employer reserves financial position above is a preliminary calculation, and once all the relevant information has been received by the Funds Actuary, the final end of year review, which will be a triennial actuarial investigation will be completed by December 2022.

(ii) Statewide Limited

Council is a member of Statewide Mutual, a mutual pool scheme providing liability insurance to local government.

Membership includes the potential to share in either the net assets or liabilities of the fund depending on its past performance. Council's share of the net assets or liabilities reflects Council's contributions to the pool and the result of insurance claims within each of the fund years.

The future realisation and finalisation of claims incurred but not reported to 30/6 this year may result in future liabilities or benefits as a result of past events that Council will be required to fund or share in respectively.

(iii) StateCover Limited

Council is a member of StateCover Mutual Limited and holds a partly paid share in the entity.

StateCover is a company providing workers compensation insurance cover to the NSW local government industry and specifically Council.

Council has a contingent liability to contribute further equity in the event of the erosion of the company's capital base as a result of the company's past performance and/or claims experience or as a result of any increased prudential requirements from APRA.

These future equity contributions would be required to maintain the company's minimum level of net assets in accordance with its licence requirements.

(iv) Other guarantees

Council has provided no other guarantees other than those listed above.

E3-1 Contingencies (continued)

2. Other liabilities

(i) Third party claims

The Council is involved from time to time in various claims incidental to the ordinary course of business including claims for damages relating to its services.

Council believes that it is appropriately covered for all claims through its insurance coverage and does not expect any material liabilities to eventuate.

(ii) Potential land acquisitions due to planning restrictions imposed by Council

Council has classified a number of privately owned land parcels as local open space or bushland.

As a result, where notified in writing by the various owners, Council will be required to purchase these land parcels.

At reporting date, reliable estimates as to the value of any potential liability (and subsequent land asset) from such potential acquisitions has not been possible.

ASSETS NOT RECOGNISED

(i) Land under roads

As permitted under AASB 1051, Council has elected not to bring to account land under roads that it owned or controlled up to and including 30/6/08.

F People and relationships

F1 Related party disclosures

F1-1 Key management personnel (KMP)

Key management personnel (KMP) of the council are those persons having the authority and responsibility for planning, directing and controlling the activities of the council, directly or indirectly.

The aggregate amount of KMP compensation included in the Income Statement is:

	2022 \$ '000	2021 \$ '000
Compensation:		
Short-term benefits	880	931
Post-employment benefits	71	71
Other long-term benefits	99	19
Total	1,050	1,021

Other transactions with KMP and their related parties

Council has determined that transactions at arm's length between KMP and Council as part of Council delivering a public service objective (e.g. access to library or Council swimming pool by KMP) will not be disclosed.

Other specific transactions are detailed below.

Nature of the transaction	Ref	Transactions during the year \$ '000	Outstanding balances including commitments \$ '000	Terms and conditions
2022				
Supply of Materials & Services	1	1,259	–	30-day term on invoice
Employee expenses relating to close family members of KMP	2	58	–	Council Staff Award

F1-1 Key management personnel (KMP) (continued)

Nature of the transaction	Ref	Transactions during the year \$ '000	Outstanding balances including commitments \$ '000	Terms and conditions
2021				
Supply of Materials & Services	1	226	—	30-day term on invoice
Employee expenses relating to close family members of KMP	2	62	—	Council Staff Award

Council purchased materials and services from

- Tyres from Ocker's Mechanical owned by the KMP of the council. The total payment value is \$151,054.00.
- Services from T J Slack Smith owned by the KMP of the council. The total payment value is \$35,413.13.
- Services from Gordon & Kirby Pty Ltd and J.A Gordon Enterprise owned by closed family member of council KMP. The total value is \$202,425.40.
- Services from A.PIPPOS & M.B. PIPPOS owned by the KMP of the council is \$ 1,170.00.
- Services from Telegraph Motel owned by the KMP of the council is \$2,680.00.
- Services from Barwon Livestock Pty Ltd owned by the closed family member of KMP of the council. The total payment is \$858,244.71.
- Services from Swan ill bus Lines employed by the KMP of the council. The total payment is \$1,020.35.

- 2 Close family members of Council's KMP are employed by the council under the state award on an arm's length basis. There are 2 close family members of KMP currently employed by the council.

F1-2 Councillor and Mayoral fees and associated expenses

	2022	2021
	\$ '000	\$ '000

The aggregate amount of Councillor and Mayoral fees and associated expenses included in materials and services expenses in the Income Statement are:

Mayoral fee	16	27
Councillors' fees	107	98
Other Councillors' expenses (including Mayor)	25	16
Total	148	141

F2 Other relationships

F2-1 Audit fees

	2022 \$ '000	2021 \$ '000
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During the year, the following fees were incurred for services provided by the auditor of Council, related practices and non-related audit firms

Auditors of the Council - NSW Auditor-General:

(i) Audit and other assurance services

Audit and review of financial statements

Remuneration for audit and other assurance services

	64	54
	64	54
Total audit fees	64	54

G Other matters

G1-1 Statement of Cash Flows information

Reconciliation of net operating result to cash provided from operating activities

	2022 \$ '000	2021 \$ '000
Net operating result from Income Statement	34,574	24,946
Add / (less) non-cash items:		
Depreciation and amortisation	3,871	3,108
(Gain) / loss on disposal of assets	116	(55)
Non-cash capital grants and contributions	(13,026)	–
Losses/(gains) recognised on fair value re-measurements through the P&L:		
– Revaluation decrements / impairments of non-financial assets direct to P&L	–	362
Movements in operating assets and liabilities and other cash items:		
(Increase) / decrease of receivables	4,690	(3,829)
Increase / (decrease) in provision for impairment of receivables	72	(67)
(Increase) / decrease of inventories	(19)	119
(Increase) / decrease of other current assets	83	(104)
(Increase) / decrease of contract asset	1,579	1,156
Increase / (decrease) in payables	(570)	394
Increase / (decrease) in other accrued expenses payable	(11)	18
Increase / (decrease) in other liabilities	(7)	108
Increase / (decrease) in contract liabilities	(3,353)	6,756
Increase / (decrease) in employee benefit provision	161	(238)
Net cash flows from operating activities	28,160	32,674

G2-1 Commitments

Capital commitments (exclusive of GST)

	2022 \$ '000	2021 \$ '000
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Capital expenditure committed for at the reporting date but not recognised in the financial statements as liabilities:

Property, plant and equipment

Buildings	–	2
Other Structures	152	4,434
Total commitments	152	4,436

These expenditures are payable as follows:

Within the next year	152	4,436
Total payable	152	4,436

Sources for funding of capital commitments:

Unrestricted general funds	152	4,436
Total sources of funding	152	4,436

G3-1 Events occurring after the reporting date

Council is unaware of any material or significant non-adjusting events that should be disclosed.

G4 Statement of performance measures

G4-1 Statement of performance measures – consolidated results

\$ '000	Amounts 2022	Indicator 2022	Indicators 20212020		Benchmark
1. Operating performance ratio					
Total continuing operating revenue excluding capital grants and contributions less operating expenses ^{1,2}	853	6.14%	3.74%	27.05%	> 0.00%
Total continuing operating revenue excluding capital grants and contributions ¹	13,895				
2. Own source operating revenue ratio					
Total continuing operating revenue excluding all grants and contributions ¹	4,659	9.76%	14.87%	24.33%	> 60.00%
Total continuing operating revenue ¹	47,732				
3. Unrestricted current ratio					
Current assets less all external restrictions	16,003	9.96x	5.09x	5.33x	> 1.50x
Current liabilities less specific purpose liabilities	1,606				
4. Debt service cover ratio					
Operating result before capital excluding interest and depreciation/impairment/amortisation ¹	4,791	20.47x	15.61x	29.84x	> 2.00x
Principal repayments (Statement of Cash Flows) plus borrowing costs (Income Statement)	234				
5. Rates and annual charges outstanding percentage					
Rates and annual charges outstanding	161	6.02%	7.12%	7.13%	< 10.00%
Rates and annual charges collectable	2,674				
6. Cash expense cover ratio					
Current year's cash and cash equivalents plus all term deposits	20,988	26.08	21.16	15.31	> 3.00
Monthly payments from cash flow of operating and financing activities	805	months	months	months	months

(1) Excludes fair value increments on investment properties, reversal of revaluation decrements, reversal of impairment losses on receivables, net gain on sale of assets and net share of interests in joint ventures and associates using the equity method and includes pensioner rate subsidies

(2) Excludes impairment/revaluation decrements of IPPE, fair value decrements on investment properties, net loss on disposal of assets and net loss on share of interests in joint ventures and associates using the equity method

G4-2 Statement of performance measures by fund

\$ '000	General Indicators ³		Water Indicators		Sewer Indicators		Benchmark
	2022	2021	2022	2021	2022	2021	
1. Operating performance ratio							
Total continuing operating revenue excluding capital grants and contributions less operating expenses ^{1, 2}	10.33%	3.10%	(27.42)%	11.02%	(3.86)%	0.00%	> 0.00%
Total continuing operating revenue excluding capital grants and contributions ¹							
2. Own source operating revenue ratio							
Total continuing operating revenue excluding capital grants and contributions ¹	6.57%	11.14%	99.82%	91.38%	100.00%	100.00%	> 60.00%
Total continuing operating revenue ¹							
3. Unrestricted current ratio							
Current assets less all external restrictions	9.96x	5.09x	77.93x	70.13x	∞	∞	> 1.50x
Current liabilities less specific purpose liabilities							
4. Debt service cover ratio							
Operating result before capital excluding interest and depreciation/impairment/amortisation ¹	19.23x	12.90x	117.50x	132.50x	∞	∞	> 2.00x
Principal repayments (Statement of Cash Flows) plus borrowing costs (Income Statement)							
5. Rates and annual charges outstanding percentage							
Rates and annual charges outstanding	1.46%	6.09%	10.88%	13.54%	11.98%	0.00%	< 10.00%
Rates and annual charges collectable							
6. Cash expense cover ratio							
Current year's cash and cash equivalents plus all term deposits	24.70 months	18.83 months	26.96 months	33.62 months	60.57 months	52.64 months	> 3.00 months
Monthly payments from cash flow of operating and financing activities							

(1) - (2) Refer to Notes at Note 25a above.

(3) General fund refers to all of Council's activities except for its water and sewer activities which are listed separately.

End of the audited financial statements



INDEPENDENT AUDITOR'S REPORT

Report on the general purpose financial statements Brewarrina Shire Council

To the Councillors of Brewarrina Shire Council

Opinion

I have audited the accompanying financial statements of Brewarrina Shire Council (the Council), which comprise the Statement by Councillors and Management, the Income Statement and Statement of Comprehensive Income for the year ended 30 June 2022, the Statement of Financial Position as at 30 June 2022, the Statement of Changes in Equity and Statement of Cash Flows for the year then ended and notes comprising a summary of significant accounting policies and other explanatory information.

In my opinion:

- the Council's accounting records have been kept in accordance with the requirements of the *Local Government Act 1993*, Chapter 13, Part 3, Division 2 (the Division)
- the financial statements:
 - have been prepared, in all material respects, in accordance with the requirements of this Division
 - are consistent with the Council's accounting records
 - present fairly, in all material respects, the financial position of the Council as at 30 June 2022, and of its financial performance and its cash flows for the year then ended in accordance with Australian Accounting Standards
- all information relevant to the conduct of the audit has been obtained
- no material deficiencies in the accounting records or financial statements have come to light during the audit.

My opinion should be read in conjunction with the rest of this report.

Basis for Opinion

I conducted my audit in accordance with Australian Auditing Standards. My responsibilities under the standards are described in the 'Auditor's Responsibilities for the Audit of the Financial Statements' section of my report.

I am independent of the Council in accordance with the requirements of the:

- Australian Auditing Standards
- Accounting Professional and Ethical Standards Board's APES 110 'Code of Ethics for Professional Accountants (including Independence Standards)' (APES 110).

I have fulfilled my other ethical responsibilities in accordance with APES 110.

Parliament promotes independence by ensuring the Auditor-General and the Audit Office of New South Wales are not compromised in their roles by:

- providing that only Parliament, and not the executive government, can remove an Auditor-General
- mandating the Auditor-General as auditor of councils
- precluding the Auditor-General from providing non-audit services.

I believe the audit evidence I have obtained is sufficient and appropriate to provide a basis for my audit opinion.

Other Information

The Council's annual report for the year ended 30 June 2022 includes other information in addition to the financial statements and my Independent Auditor's Report thereon. The Councillors are responsible for the other information. At the date of this Independent Auditor's Report, the other information I have received comprise the special purpose financial statements and Special Schedules (the Schedules).

My opinion on the financial statements does not cover the other information. Accordingly, I do not express any form of assurance conclusion on the other information. However, as required by the *Local Government Act 1993*, I have separately expressed an opinion on the special purpose financial statements and Special Schedule - Permissible income for general rates.

In connection with my audit of the financial statements, my responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or my knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work I have performed, I conclude there is a material misstatement of the other information, I must report that fact.

I have nothing to report in this regard.

The Councillors' Responsibilities for the Financial Statements

The Councillors are responsible for the preparation and fair presentation of the financial statements in accordance with Australian Accounting Standards and the *Local Government Act 1993*, and for such internal control as the Councillors determine is necessary to enable the preparation and fair presentation of the financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Councillors are responsible for assessing the Council's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting.

Auditor's Responsibilities for the Audit of the Financial Statements

My objectives are to:

- obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error
- issue an Independent Auditor's Report including my opinion.

Reasonable assurance is a high level of assurance, but does not guarantee an audit conducted in accordance with Australian Auditing Standards will always detect material misstatements. Misstatements can arise from fraud or error. Misstatements are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions users take based on the financial statements.

A description of my responsibilities for the audit of the financial statements is located at the Auditing and Assurance Standards Board website at: www.auasb.gov.au/auditors_responsibilities/ar4.pdf. The description forms part of my auditor's report.

The scope of my audit does not include, nor provide assurance:

- that the Council carried out its activities effectively, efficiently and economically
- on the Original Budget information included in the Income Statement, Statement of Cash Flows, and Note B5-1 Material budget variations
- on the Special Schedules. A separate opinion has been provided on Special Schedule - Permissible income for general rates
- about the security and controls over the electronic publication of the audited financial statements on any website where they may be presented
- about any other information which may have been hyperlinked to/from the financial statements.

A handwritten signature in black ink, appearing to read 'Manuel Moncada', with a stylized flourish at the end.

Manuel Moncada
Delegate of the Auditor-General for New South Wales

31 October 2022
SYDNEY



Cr Vivian Slack-Smith
Mayor
Brewarrina Council
PO Box 125
BREWARRINA NSW 2839

Contact: Manuel Moncada
Phone no: 02 9275 7333
Our ref: D2222680/1699

31 October 2022

Dear Mayor

**Report on the Conduct of the Audit
for the year ended 30 June 2022
Brewarrina Shire Council**

I have audited the general purpose financial statements (GPFS) of the Brewarrina Shire Council (the Council) for the year ended 30 June 2022 as required by section 415 of the *Local Government Act 1993* (the Act).

I expressed an unmodified opinion on the Council's GPFS.

This Report on the Conduct of the Audit (the Report) for the Council for the year ended 30 June 2022 is issued in accordance with section 417 of the Act. This Report should be read in conjunction with my audit opinion on the GPFS issued under section 417(2) of the Act.

INCOME STATEMENT

Operating result

	2022 \$m	2021 \$m	Variance %
Rates and annual charges revenue	2.44	2.39	2.1
Grants and contributions revenue	43.07	31.77	35.6
Operating result from continuing operations	34.57	24.95	38.6
Net operating result before capital grants and contributions	0.74	0.19	290

Rates and annual charges revenue (\$2.44 million) increased by \$56,000 (2.1 per cent) in 2021–2022.

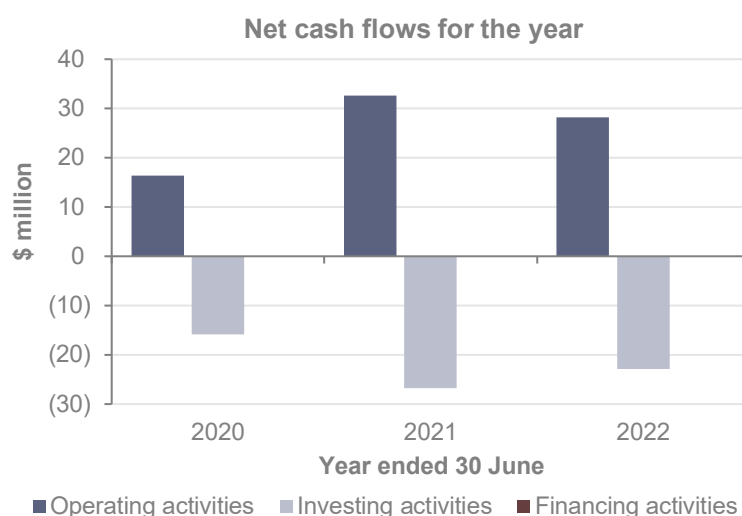
Grants and contributions revenue (\$43.07 million) increased by \$11.3 million (35.6 per cent) in 2021–2022. This was primarily due to the receipt of contributed assets of \$13 million relating to the Yetta Dhinnakkai Correction Centre.

Council's operating result (\$34.57 million including the effect of depreciation and amortisation expense of \$3.87 million) was \$11.3 million higher than the 2020–21 result. This was mainly due to receipt of contributed assets of \$13 million relating to the Yetta Dhinnakkai Correction Centre.

The net operating result before capital grants and contributions (\$0.74 million) was \$551,000 higher than the 2020–21 result. This was mainly due to increased receipts of financial assistance grants.

STATEMENT OF CASH FLOWS

- The Statement of Cash Flows illustrates the flow of cash and cash equivalents moving in and out of Council during the year and reveals that cash increased by \$5.1 million to \$21 million at the close of the year.



FINANCIAL POSITION

Cash and investments

Cash and investments	2022	2021	Commentary
	\$m	\$m	
Total cash, cash equivalents and investments	21.0	15.8	- External restrictions include unspent specific purpose grants, domestic waste management charges and water and sewerage funds. - Balances are internally restricted due to Council policy or decisions for forward plans including works program.
Restricted cash and investments:			
• External restrictions	8.4	12.3	
• Internal allocations	12.1	3.5	

Debt

After repaying principal and interest of \$234,000 during the financial year, total debt as at 30 June 2022 was \$1.4 million (2021: \$1.6 million).

PERFORMANCE

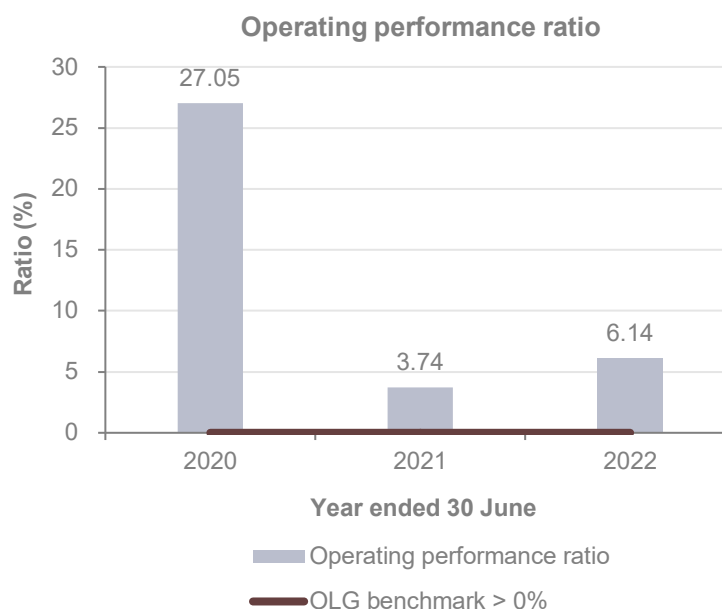
Performance measures

The following section provides an overview of the Council's performance against the performance measures and performance benchmarks set by the Office of Local Government (OLG) within the Department of Planning and Environment.

Operating performance ratio

The Council met the OLG benchmark for the current reporting period.

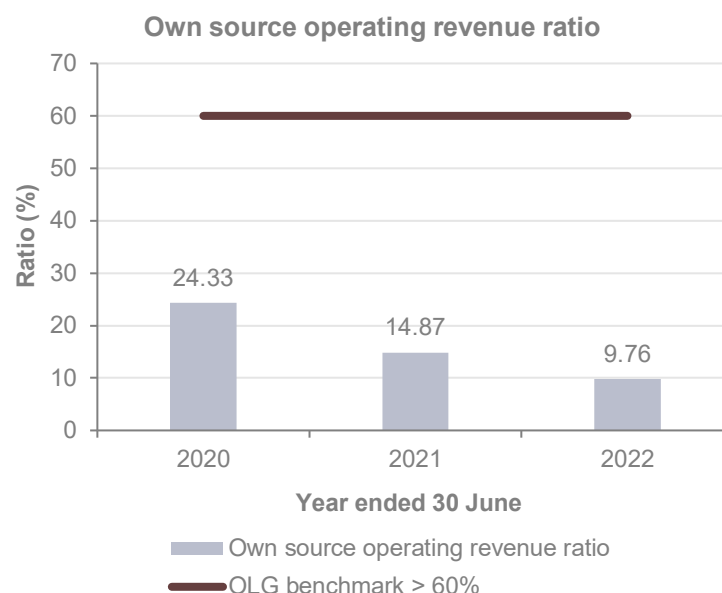
The 'operating performance ratio' measures how well council contained operating expenditure within operating revenue (excluding capital grants and contributions, fair value adjustments, and reversal of revaluation decrements). The benchmark set by OLG is greater than zero per cent.



Own source operating revenue ratio

The Council did not meet the OLG benchmark for the current reporting period.

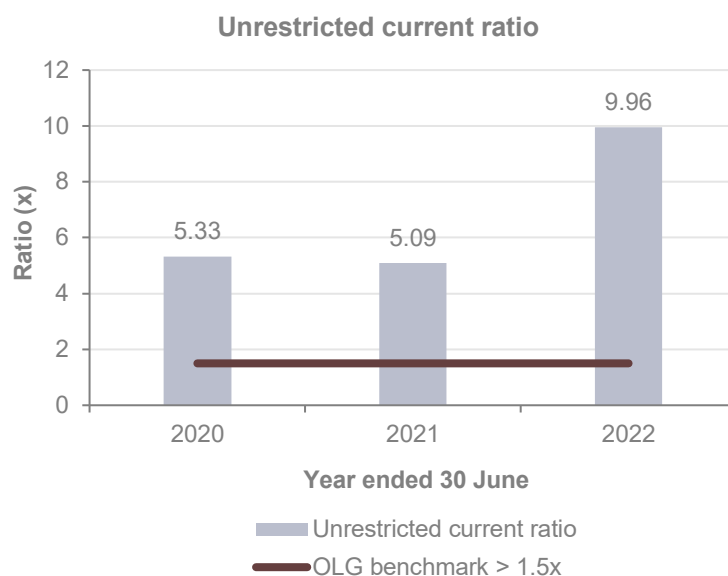
The 'own source operating revenue ratio' measures council's fiscal flexibility and the degree to which it relies on external funding sources such as operating grants and contributions. The benchmark set by OLG is greater than 60 per cent.



Unrestricted current ratio

The Council met the OLG benchmark for the current reporting period.

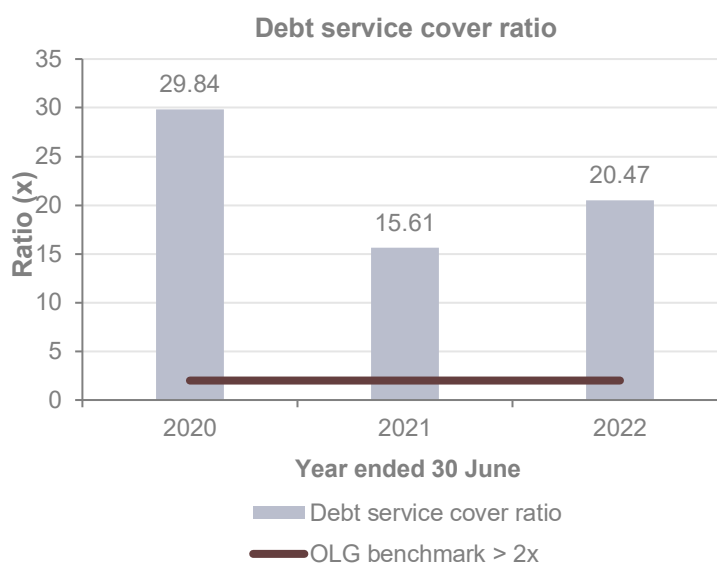
The 'unrestricted current ratio' is specific to local government and represents council's ability to meet its short-term obligations as they fall due. The benchmark set by OLG is greater than 1.5 times.



Debt service cover ratio

The Council met the OLG benchmark for the current reporting period.

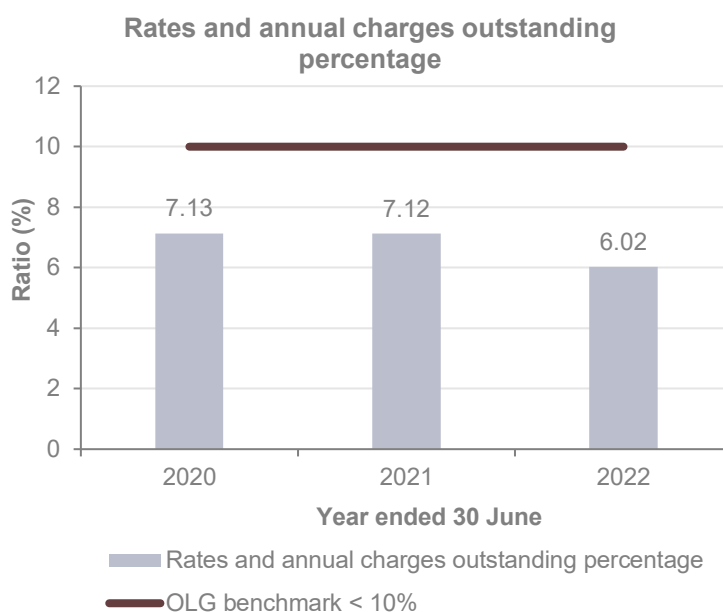
The 'debt service cover ratio' measures the operating cash to service debt including interest, principal and lease payments. The benchmark set by OLG is greater than two times.



Rates and annual charges outstanding percentage

The Council met the OLG benchmark for the current reporting period.

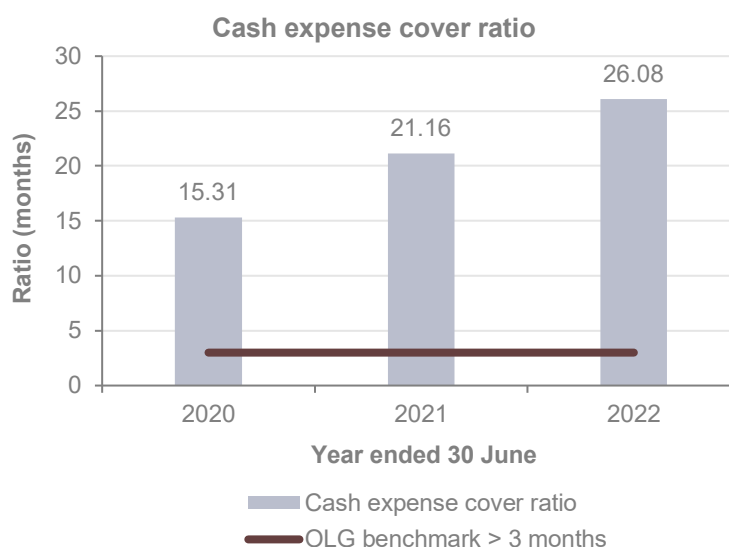
The 'rates and annual charges outstanding percentage' assesses the impact of uncollected rates and annual charges on council's liquidity and the adequacy of debt recovery efforts. The benchmark set by OLG is less than 10 per cent regional and rural councils.



Cash expense cover ratio

The Council met the OLG benchmark for the current reporting period.

This liquidity ratio indicates the number of months the council can continue paying for its immediate expenses without additional cash inflow. The benchmark set by OLG is greater than three months.



Infrastructure, property, plant and equipment renewals

- Council's asset renewal additions for the year were \$22.1 million compared \$25 million for the prior year
- The level of asset renewals during the year represented 478 percent of the total depreciation expense (\$4.6 million) for the year.

OTHER MATTERS

Legislative compliance

My audit procedures did not identify any instances of non-compliance with legislative requirements or a material deficiency in the Council's accounting records or financial statements. The Council's:

- accounting records were maintained in a manner and form to allow the GPFS to be prepared and effectively audited

- staff provided all accounting records and information relevant to the audit.

The Council's:

- accounting records were maintained in a manner and form that facilitated the preparation and the effective audit of the GPFS
- staff provided all accounting records and information relevant to the audit.

A handwritten signature in black ink, appearing to read 'Manuel Moncada', with a stylized, flowing script.

Manuel Moncada

Delegate of the Auditor-General for New South Wales

Brewarrina Shire Council

SPECIAL PURPOSE FINANCIAL STATEMENTS
for the year ended 30 June 2022

*Building on the economic and social sustainability
in order to preserve the rich heritage of the community*



Special Purpose Financial Statements

for the year ended 30 June 2022

Contents	Page
Statement by Councillors and Management	3
Special Purpose Financial Statements:	
Income Statement of water supply business activity	4
Income Statement of sewerage business activity	5
Statement of Financial Position of water supply business activity	6
Statement of Financial Position of sewerage business activity	7
Note – Significant Accounting Policies	8
Auditor's Report on Special Purpose Financial Statements	10

Background

- i. These Special Purpose Financial Statements have been prepared for the use by both Council and the Office of Local Government in fulfilling their requirements under National Competition Policy.
- ii. The principle of competitive neutrality is based on the concept of a 'level playing field' between persons/entities competing in a market place, particularly between private and public sector competitors.

Essentially, the principle is that government businesses, whether Commonwealth, state or local, should operate without net competitive advantages over other businesses as a result of their public ownership.

- iii. For Council, the principle of competitive neutrality and public reporting applies only to declared business activities.

These include **(a)** those activities classified by the Australian Bureau of Statistics as business activities being water supply, sewerage services, abattoirs, gas production and reticulation, and **(b)** those activities with a turnover of more than \$2 million that Council has formally declared as a business activity (defined as Category 1 activities).

- iv. In preparing these financial statements for Council's self-classified Category 1 businesses and ABS-defined activities, councils must **(a)** adopt a corporatisation model and **(b)** apply full cost attribution including tax-equivalent regime payments and debt guarantee fees (where the business benefits from Council's borrowing position by comparison with commercial rates).

Brewarrina Shire Council

Special Purpose Financial Statements

for the year ended 30 June 2022

Statement by Councillors and Management

Statement by Councillors and Management made pursuant to the Local Government Code of Accounting Practice and Financial Reporting

The attached Special Purpose Financial Statements have been prepared in accordance with:

- the NSW Government Policy Statement 'Application of National Competition Policy to Local Government',
- the Division of Local Government Guidelines 'Pricing and Costing for Council Businesses – A Guide to Competitive Neutrality',
- the Local Government Code of Accounting Practice and Financial Reporting,
- the NSW Office of Water Best-Practice Management of Water and Sewerage Guidelines.

To the best of our knowledge and belief, these statements:

- present fairly the operating result and financial position for each of Council's declared business activities for the year, and
- accord with Council's accounting and other records.
- present overhead reallocation charges to the water and sewerage businesses as fair and reasonable.

We are not aware of any matter that would render these statements false or misleading in any way.

Signed in accordance with a resolution of Council made on 29 July 2022.



Vivian Slack-Smith

Mayor

29 July 2022



Angelo Pippas

Deputy Mayor

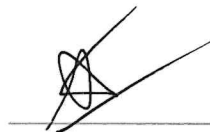
29 July 2022



David Kirby

Acting General Manager

29 July 2022



Ang Pasang Rai

Responsible Accounting Officer

29 July 2022

Brewarrina Shire Council

Income Statement of water supply business activity

for the year ended 30 June 2022

	2022 \$ '000	2021 \$ '000
Income from continuing operations		
Access charges	754	746
User charges	362	338
Interest and investment income	20	8
Grants and contributions provided for operating purposes	2	104
Other income	–	11
Total income from continuing operations	1,138	1,207
Expenses from continuing operations		
Employee benefits and on-costs	182	159
Borrowing costs	2	4
Administration and engineering supervision	319	312
Materials and services	297	191
Depreciation, amortisation and impairment	545	393
Other expenses	105	15
Total expenses from continuing operations	1,450	1,074
Surplus (deficit) from continuing operations before capital amounts	(312)	133
Surplus (deficit) from continuing operations after capital amounts	(312)	133
Surplus (deficit) from all operations before tax	(312)	133
Less: corporate taxation equivalent (25%) [based on result before capital]	–	(35)
Surplus (deficit) after tax	(312)	98
Plus accumulated surplus	3,217	3,084
– Corporate taxation equivalent	–	35
Closing accumulated surplus	2,905	3,217
Return on capital %	(2.3)%	1.1%
Subsidy from Council	811	41
Calculation of dividend payable:		
Surplus (deficit) after tax	(312)	98
Surplus for dividend calculation purposes	–	98
Potential dividend calculated from surplus	–	49

Brewarrina Shire Council

Income Statement of sewerage business activity

for the year ended 30 June 2022

	2022 \$ '000	2021 \$ '000
Income from continuing operations		
Access charges	484	474
Interest and investment income	8	4
Total income from continuing operations	492	478
Expenses from continuing operations		
Employee benefits and on-costs	113	106
Administration and engineering supervision	113	121
Materials and services	36	34
Depreciation, amortisation and impairment	196	155
Other expenses	53	62
Total expenses from continuing operations	511	478
Surplus (deficit) from continuing operations before capital amounts	(19)	—
Surplus (deficit) from continuing operations after capital amounts	(19)	—
Surplus (deficit) from all operations before tax	(19)	—
Surplus (deficit) after tax	(19)	—
Plus accumulated surplus	865	865
Plus adjustments for amounts unpaid:		
Closing accumulated surplus	846	865
Return on capital %	(0.2)%	0.0%
Subsidy from Council	297	106
Calculation of dividend payable:		
Surplus (deficit) after tax	(19)	—
Surplus for dividend calculation purposes	—	—
Potential dividend calculated from surplus	—	—

Brewarrina Shire Council

Statement of Financial Position of water supply business activity

as at 30 June 2022

	2022 \$ '000	2021 \$ '000
ASSETS		
Current assets		
Cash and cash equivalents	2,033	1,908
Receivables	305	336
Total current assets	2,338	2,244
Non-current assets		
Infrastructure, property, plant and equipment	13,696	11,964
Total non-current assets	13,696	11,964
Total assets	16,034	14,208
LIABILITIES		
Current liabilities		
Payables	6	1
Borrowings	24	31
Total current liabilities	30	32
Non-current liabilities		
Borrowings	–	24
Total non-current liabilities	–	24
Total liabilities	30	56
Net assets	16,004	14,152
EQUITY		
Accumulated surplus	2,905	3,217
Revaluation reserves	13,099	10,935
Total equity	16,004	14,152

Brewarrina Shire Council

Statement of Financial Position of sewerage business activity

as at 30 June 2022

	2022 \$ '000	2021 \$ '000
ASSETS		
Current assets		
Cash and cash equivalents	1,590	1,417
Receivables	59	57
Total current assets	1,649	1,474
Non-current assets		
Infrastructure, property, plant and equipment	7,607	7,108
Total non-current assets	7,607	7,108
Total assets	9,256	8,582
Net assets	9,256	8,582
EQUITY		
Accumulated surplus	846	865
Revaluation reserves	8,410	7,717
Total equity	9,256	8,582

Note – Significant Accounting Policies

A statement summarising the supplemental accounting policies adopted in the preparation of the special purpose financial statements (SPFS) for National Competition Policy (NCP) reporting purposes follows.

These financial statements are SPFS prepared for use by Council and the Office of Local Government. For the purposes of these statements, the Council is a non-reporting not-for-profit entity.

The figures presented in these special purpose financial statements have been prepared in accordance with the recognition and measurement criteria of relevant Australian Accounting Standards, other authoritative pronouncements of the Australian Accounting Standards Board (AASB) and Australian Accounting Interpretations.

The disclosures in these special purpose financial statements have been prepared in accordance with the *Local Government Act 1993* (Act), the *Local Government (General) Regulation 2005* (Regulation) and the Local Government Code of Accounting Practice and Financial Reporting.

The statements are prepared on an accruals basis. They are based on historic costs and do not take into account changing money values or, except where specifically stated, fair value of non-current assets. Certain taxes and other costs, appropriately described, have been imputed for the purposes of the National Competition Policy.

The Statement of Financial Position includes notional assets/liabilities receivable from/payable to Council's general fund. These balances reflect a notional intra-entity funding arrangement with the declared business activities.

National Competition Policy

Council has adopted the principle of 'competitive neutrality' in its business activities as part of the National Competition Policy which is being applied throughout Australia at all levels of government. The framework for its application is set out in the June 1996 NSW Government Policy statement titled 'Application of National Competition Policy to Local Government'. *The Pricing and Costing for Council Businesses – A Guide to Competitive Neutrality* issued by the Office of Local Government in July 1997 has also been adopted.

The pricing and costing guidelines outline the process for identifying and allocating costs to activities and provide a standard for disclosure requirements. These disclosures are reflected in Council's pricing and/or financial reporting systems and include taxation equivalents, Council subsidies, and returns on investments (rate of return and dividends paid).

Declared business activities

In accordance with Pricing and Costing for Council Businesses – A Guide to Competitive Neutrality, Council has declared that the following are to be considered as business activities:

Category 1

(where gross operating turnover is over \$2 million)

Council has no Category 1 business activities.

Category 2

(where gross operating turnover is less than \$2 million)

a. Brewarrina Shire Water Supplies

Comprising the whole of the water supply operations and net assets servicing the town of Brewarrina and the village of Goodooga.

b. Brewarrina Shire Sewerage Service

Comprising the whole of the sewerage reticulation and treatment operations and net assets servicing the town of Brewarrina and the village of Goodooga.

Taxation equivalent charges

Council is liable to pay various taxes and financial duties. Where this is the case, they are disclosed as a cost of operations just like all other costs. However, where Council does not pay some taxes, which are generally paid by private sector businesses, such as income tax, these equivalent tax payments have been applied to all Council-nominated business activities and are reflected in special purpose financial statements. For the purposes of disclosing comparative information relevant to the private sector equivalent, the following taxation equivalents have been applied to all Council-nominated business activities (this does not include Council's non-business activities):

Notional rate applied (%)

Corporate income tax rate – **25%** (20/21 26%)

Note – Significant Accounting Policies (continued)

Land tax – the first \$755,000 of combined land values attracts **0%**. For the combined land values in excess of \$755,000 up to \$4,616,000 the rate is **\$100 + 1.6%**. For the remaining combined land value that exceeds \$4,616,000 a premium marginal rate of **2.0%** applies.

Payroll tax – **4.85%** on the value of taxable salaries and wages in excess of \$1,200,000.

In accordance with the Department of Planning, Industry & Environment – Water guidelines, a payment for the amount calculated as the annual tax equivalent charges (excluding income tax) must be paid from water supply and sewerage business activities.

The payment of taxation equivalent charges, referred to in the Best Practice Management of Water Supply and Sewer Guidelines as a 'dividend for taxation equivalent', may be applied for any purpose allowed under the Act.

Achievement of substantial compliance to the DPIE – Water guidelines is not a prerequisite for the payment of the tax equivalent charges; however the payment must not exceed \$3 per assessment.

Income tax

An income tax equivalent has been applied on the profits of the business activities. Whilst income tax is not a specific cost for the purpose of pricing a good or service, it needs to be taken into account in terms of assessing the rate of return required on capital invested. Accordingly, the return on capital invested is set at a pre-tax level – gain/(loss) from ordinary activities before capital amounts, as would be applied by a private sector competitor. That is, it should include a provision equivalent to the corporate income tax rate, currently 25% (20/21 26%).

Income tax is only applied where a gain from ordinary activities before capital amounts has been achieved. Since the taxation equivalent is notional – that is, it is payable to the 'Council' as the owner of business operations – it represents an internal payment and has no effect on the operations of the Council.

Accordingly, there is no need for disclosure of internal charges in the SPFS. The rate applied of 25% is/is not the equivalent company tax rate prevalent at reporting date. No adjustments have been made for variations that have occurred during the year.

Local government rates and charges

A calculation of the equivalent rates and charges for all Category 1 businesses has been applied to all assets owned, or exclusively used by the business activity.

Loan and debt guarantee fees

The debt guarantee fee is designed to ensure that Council business activities face 'true' commercial borrowing costs in line with private sector competitors. In order to calculate a debt guarantee fee, Council has determined what the differential borrowing rate would have been between the commercial rate and Council's borrowing rate for its business activities.

(i) Subsidies

Government policy requires that subsidies provided to customers, and the funding of those subsidies, must be explicitly disclosed. Subsidies occur where Council provides services on a less than cost recovery basis. This option is exercised on a range of services in order for Council to meet its community service obligations. The overall effect of subsidies is contained within the Income Statements of business activities.

(ii) Return on investments (rate of return)

The NCP policy statement requires that councils with Category 1 businesses 'would be expected to generate a return on capital funds employed that is comparable to rates of return for private businesses operating in a similar field'.

Funds are subsequently available for meeting commitments or financing future investment strategies. The rate of return is disclosed for each of Council's business activities on the Income Statement.

(iii) Dividends

Council is not required to pay dividends to either itself (as owner of a range of businesses) or to any external entities.

Brewarrina Shire Council

Special Purpose Financial Statements for the year ended 30 June 2022



INDEPENDENT AUDITOR'S REPORT

Report on the special purpose financial statements

Brewarrina Shire Council

To the Councillors of Brewarrina Shire Council

Opinion

I have audited the accompanying special purpose financial statements (the financial statements) of Brewarrina Shire Council's (the Council) Declared Business Activities, which comprise the Statement by Councillors and Management, the Income Statement of each Declared Business Activity for the year ended 30 June 2022, the Statement of Financial Position of each Declared Business Activity as at 30 June 2022 and the Significant accounting policies note.

The Declared Business Activities of the Council are:

- Water supply
- Sewerage

In my opinion, the financial statements present fairly, in all material respects, the financial position of the Council's Declared Business Activities as at 30 June 2022, and their financial performance for the year then ended, in accordance with the Australian Accounting Standards described in the Significant accounting policies note and the Local Government Code of Accounting Practice and Financial Reporting 2021–22 (LG Code).

My opinion should be read in conjunction with the rest of this report.

Basis for Opinion

I conducted my audit in accordance with Australian Auditing Standards. My responsibilities under the standards are described in the 'Auditor's Responsibilities for the Audit of the Financial Statements' section of my report.

I am independent of the Council in accordance with the requirements of the:

- Australian Auditing Standards
- Accounting Professional and Ethical Standards Board's APES 110 'Code of Ethics for Professional Accountants (including Independence Standards)' (APES 110).

I have fulfilled my other ethical responsibilities in accordance with APES 110.

Parliament promotes independence by ensuring the Auditor-General and the Audit Office of New South Wales are not compromised in their roles by:

- providing that only Parliament, and not the executive government, can remove an Auditor-General
- mandating the Auditor-General as the auditor of councils
- precluding the Auditor-General from providing non-audit services.

I believe the audit evidence I have obtained is sufficient and appropriate to provide a basis for my audit opinion.

Emphasis of Matter - Basis of Accounting

Without modifying my opinion, I draw attention to the Significant accounting policies note to the financial statements which describes the basis of accounting. The financial statements have been prepared for the purpose of fulfilling the Council's financial reporting responsibilities under the LG Code. As a result, the financial statements may not be suitable for another purpose.

Other Information

The Council's annual report for the year ended 30 June 2022 includes other information in addition to the financial statements and my Independent Auditor's Report thereon. The Councillors are responsible for the other information. At the date of this Independent Auditor's Report, the other information I have received comprise the general purpose financial statements and Special Schedules (the Schedules).

My opinion on the financial statements does not cover the other information. Accordingly, I do not express any form of assurance conclusion on the other information. However, as required by the *Local Government Act 1993*, I have separately expressed an opinion on the general purpose financial statements and Special Schedule 'Permissible income for general rates'.

In connection with my audit of the financial statements, my responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or my knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work I have performed, I conclude there is a material misstatement of the other information, I must report that fact.

I have nothing to report in this regard.

The Councillors' Responsibilities for the Financial Statements

The Councillors are responsible for the preparation and fair presentation of the financial statements and for determining that the accounting policies, described in the Significant accounting policies note to the financial statements, are appropriate to meet the requirements in the LG Code. The Councillors' responsibility also includes such internal control as the Councillors determine is necessary to enable the preparation and fair presentation of the financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Councillors are responsible for assessing the Council's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting.

Auditor's Responsibilities for the Audit of the Financial Statements

My objectives are to:

- obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error
- issue an Independent Auditor's Report including my opinion.

Reasonable assurance is a high level of assurance, but does not guarantee an audit conducted in accordance with Australian Auditing Standards will always detect material misstatements. Misstatements can arise from fraud or error. Misstatements are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions users take based on the financial statements.

A description of my responsibilities for the audit of the financial statements is located at the Auditing and Assurance Standards Board website at: www.auasb.gov.au/auditors_responsibilities/ar4.pdf. The description forms part of my auditor's report.

The scope of my audit does not include, nor provide assurance:

- that the Council carried out its activities effectively, efficiently and economically
- about the security and controls over the electronic publication of the audited financial statements on any website where they may be presented
- about any other information which may have been hyperlinked to/from the financial statements.

A handwritten signature in black ink, appearing to read 'Manuel Moncada', with a stylized flourish at the end.

Manuel Moncada
Delegate of the Auditor-General for New South Wales

31 October 2022
SYDNEY

Brewarrina Shire Council

SPECIAL SCHEDULES
for the year ended 30 June 2022

*Building on the economic and social sustainability
in order to preserve the rich heritage of the community*



Brewarrina Shire Council

Special Schedules

for the year ended 30 June 2022

Contents	Page
Special Schedules:	
Permissible income for general rates	3
Report on infrastructure assets as at 30 June 2022	7

Brewarrina Shire Council

Permissible income for general rates

	Notes	Calculation 2021/22 \$ '000	Calculation 2022/23 \$ '000
Notional general income calculation ¹			
Last year notional general income yield	a	1,114	1,136
Plus or minus adjustments ²	b	—	(22)
Notional general income	c = a + b	1,114	1,114
Permissible income calculation			
Or rate peg percentage	e	2.00%	0.70%
Or plus rate peg amount	i = e x (c + g)	22	8
Sub-total	k = (c + g + h + i + j)	1,136	1,122
Total permissible income	o = k + n	1,136	1,122
Less notional general income yield	p	1,136	1,120
Catch-up or (excess) result	q = o - p	1	2
Carry forward to next year ²	t = q + r + s	1	2

Notes

- (1) The notional general income will not reconcile with rate income in the financial statements in the corresponding year. The statements are reported on an accrual accounting basis which include amounts that relate to prior years' rates income.
- (2) Adjustments account for changes in the number of assessments and any increase or decrease in land value occurring during the year. The adjustments are called 'supplementary valuations' as defined in the *Valuation of Land Act 1916 (NSW)*.
- (2) Carry forward amounts which are in excess (an amount that exceeds the permissible income) require ministerial approval by order published in the NSW Government Gazette in accordance with section 512 of the Local Government Act 1993. The OLG will extract these amounts from Council's Permissible income for general rates Statement in the financial data return (FDR) to administer this process.



INDEPENDENT AUDITOR'S REPORT

Special Schedule – Permissible income for general rates Brewarrina Shire Council

To the Councillors of Brewarrina Shire Council

Opinion

I have audited the accompanying Special Schedule – Permissible income for general rates (the Schedule) of Brewarrina Shire Council (the Council) for the year ending 30 June 2023.

In my opinion, the Schedule is prepared, in all material respects in accordance with the requirements of the Local Government Code of Accounting Practice and Financial Reporting 2021–22 (LG Code) and is in accordance with the books and records of the Council.

My opinion should be read in conjunction with the rest of this report.

Basis for Opinion

I conducted my audit in accordance with Australian Auditing Standards. My responsibilities under the standards are described in the 'Auditor's Responsibilities for the Audit of the Schedule' section of my report.

I am independent of the Council in accordance with the requirements of the:

- Australian Auditing Standards
- Accounting Professional and Ethical Standards Board's APES 110 'Code of Ethics for Professional Accountants (including Independence Standards)' (APES 110).

I have fulfilled my other ethical responsibilities in accordance with APES 110.

Parliament promotes independence by ensuring the Auditor-General and the Audit Office of New South Wales are not compromised in their roles by:

- providing that only Parliament, and not the executive government, can remove an Auditor-General
- mandating the Auditor-General as auditor of councils
- precluding the Auditor-General from providing non-audit services.

I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my audit opinion.

Emphasis of Matter - Basis of Accounting

Without modifying my opinion, I draw attention to the special purpose framework used to prepare the Schedule. The Schedule has been prepared for the purpose of fulfilling the Council's reporting obligations under the LG Code. As a result, the Schedule may not be suitable for another purpose.

Other Information

The Council's annual report for the year ended 30 June 2022 includes other information in addition to the Schedule and my Independent Auditor's Report thereon. The Councillors are responsible for the other information. At the date of this Independent Auditor's Report, the other information I have received comprise the general purpose financial statements, special purpose financial statements and Special Schedule 'Report on infrastructure assets as at 30 June 2022'.

My opinion on the Schedule does not cover the other information. Accordingly, I do not express any form of assurance conclusion on the other information. However, as required by the *Local Government Act 1993*, I have separately expressed an opinion on the general purpose financial statements and the special purpose financial statements.

In connection with my audit of the Schedule, my responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the Schedule or my knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work I have performed, I conclude there is a material misstatement of the other information, I must report that fact.

I have nothing to report in this regard.

The Councillors' Responsibilities for the Schedule

The Councillors are responsible for the preparation of the Schedule in accordance with the LG Code. The Councillors' responsibility also includes such internal control as the Councillors determine is necessary to enable the preparation of the Schedule that is free from material misstatement, whether due to fraud or error.

In preparing the Schedule, the Councillors are responsible for assessing the Council's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting.

Auditor's Responsibilities for the Audit of the Schedule

My objectives are to:

- obtain reasonable assurance whether the Schedule as a whole is free from material misstatement, whether due to fraud or error
- issue an Independent Auditor's Report including my opinion.

Reasonable assurance is a high level of assurance, but does not guarantee an audit conducted in accordance with Australian Auditing Standards will always detect material misstatements.

Misstatements can arise from fraud or error. Misstatements are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions users take based on the Schedule.

A description of my responsibilities for the audit of the Schedule is located at the Auditing and Assurance Standards Board website at: www.auasb.gov.au/auditors_responsibilities/ar8.pdf. The description forms part of my auditor's report.

The scope of my audit does not include, nor provide assurance:

- that the Council carried out its activities effectively, efficiently and economically
- about the security and controls over the electronic publication of the audited Schedule on any website where it may be presented
- about any other information which may have been hyperlinked to/from the Schedule.

A handwritten signature in black ink, appearing to read 'Manuel Moncada', with a stylized flourish at the end.

Manuel Moncada
Delegate of the Auditor-General for New South Wales

31 October 2022
SYDNEY

Brewarrina Shire Council

Report on infrastructure assets as at 30 June 2022

Asset Class	Asset Category	Estimated cost to bring assets to satisfactory standard	Estimated cost to bring to the agreed level of service set by Council	2021/22 Required maintenance ^a	2021/22 Actual maintenance	Net carrying amount	Gross replacement cost (GRC)	Assets in condition as a percentage of gross replacement cost				
		\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	1	2	3	4	5
Buildings	Buildings – specialised	192	192	57	136	25,024	33,901	29.0%	67.0%	3.0%	2.0%	(1.0%)
	Buildings – non-specialised	81	81	158	36	2,003	2,141	58.0%	40.0%	0.0%	2.0%	0.0%
	Sub-total	273	273	215	172	29,684	36,042	30.7%	65.4%	2.8%	2.0%	(0.9%)
Other structures	Other structures	30	30	24	144	4,707	6,681	53.0%	8.0%	4.0%	8.0%	27.0%
	Sub-total	30	30	24	144	4,707	6,681	53.0%	8.0%	4.0%	8.0%	27.0%
Roads, Bridges & Footpaths	Sealed	1,072	1,072	807	777	51,752	69,508	61.0%	29.0%	5.0%	5.0%	0.0%
	Unsealed roads	938	938	915	715	73,183	75,239	99.0%	1.0%	0.0%	0.0%	0.0%
	Bridges	8	8	11	33	15,633	20,524	47.0%	51.0%	2.0%	0.0%	0.0%
	Footpaths	18	18	39	160	1,935	2,614	55.0%	45.0%	0.0%	0.0%	0.0%
	Sub-total	2,036	2,036	1,772	1,685	153,651	167,885	76.2%	19.4%	2.3%	2.1%	0.0%
Water supply network	Water supply network	192	192	158	237	11,312	21,555	8.0%	41.0%	29.0%	22.0%	0.0%
	Sub-total	192	192	158	237	13,442	21,555	8.0%	41.0%	29.0%	22.0%	0.0%
Sewerage network	Sewerage network	114	114	106	56	7,447	13,023	10.0%	69.0%	9.0%	12.0%	0.0%
	Sub-total	114	114	106	56	7,447	13,023	10.0%	69.0%	9.0%	12.0%	0.0%
Stormwater drainage	Stormwater drainage	20	20	24	8	632	1,610	1.0%	12.0%	87.0%	0.0%	0.0%
	Sub-total	20	20	24	8	674	1,610	1.0%	12.0%	87.0%	0.0%	0.0%
Open space / recreational assets	Swimming pools	20	20	19	34	1,778	2,687	50.0%	3.0%	45.0%	2.0%	0.0%
	Other recreational	60	60	44	271	1,046	1,181	91.0%	9.0%	0.0%	0.0%	0.0%
	Sub-total	80	80	63	305	2,824	3,868	62.5%	4.8%	31.3%	1.4%	0.0%
Aerodromes	Aerodromes	41	41	47	52	2,280	3,939	0.0%	83.0%	9.0%	8.0%	0.0%
	Sub-total	41	41	47	52	–	3,939	0.0%	83.0%	9.0%	8.0%	0.0%
Additional asset class (if required)	Levee Bank – Levee Bank	5	5	5	–	3,215	5,529	29.0%	22.0%	38.0%	11.0%	0.0%
	Sub-total	5	5	5	–	3,215	5,529	29.0%	22.0%	38.0%	11.0%	0.0%
Total – all assets		2,791	2,791	2,414	2,659	215,644	260,132	57.5%	30.5%	6.8%	4.6%	0.6%

Brewarrina Shire Council

Report on infrastructure assets as at 30 June 2022 (continued)

(a) Required maintenance is the amount identified in Council's asset management plans.

Infrastructure asset condition assessment 'key'

#	Condition	Integrated planning and reporting (IP&R) description
1	Excellent/very good	No work required (normal maintenance)
2	Good	Only minor maintenance work required
3	Satisfactory	Maintenance work required
4	Poor	Renewal required
5	Very poor	Urgent renewal/upgrading required

Brewarrina Shire Council

Report on infrastructure assets as at 30 June 2022

Infrastructure asset performance indicators (consolidated) *

\$ '000	Amounts 2022	Indicator 2022	Indicators 2021 2020		Benchmark
Buildings and infrastructure renewals ratio					
Asset renewals ¹	22,809	719.07%	918.79%	613.23%	>= 100.00%
Depreciation, amortisation and impairment	3,172				
Infrastructure backlog ratio					
Estimated cost to bring assets to a satisfactory standard	2,791	1.28%	1.61%	1.88%	< 2.00%
Net carrying amount of infrastructure assets	218,427				
Asset maintenance ratio					
Actual asset maintenance	2,659	110.15%	88.35%	69.30%	> 100.00%
Required asset maintenance	2,414				
Cost to bring assets to agreed service level					
Estimated cost to bring assets to an agreed service level set by Council	2,791	1.06%	1.26%	1.41%	
Gross replacement cost	262,354				

(*) All asset performance indicators are calculated using classes identified in the previous table.

(1) Asset renewals represent the replacement and/or refurbishment of existing assets to an equivalent capacity/performance as opposed to the acquisition of new assets (or the refurbishment of old assets) that increases capacity/performance.

Brewarrina Shire Council

Report on infrastructure assets as at 30 June 2022

Infrastructure asset performance indicators (by fund)

	General fund		Water fund		Sewer fund		Benchmark
\$ '000	2022	2021	2022	2021	2022	2021	
Buildings and infrastructure renewals ratio							
Asset renewals ¹							
Depreciation, amortisation and impairment	969.46%	1,238.01%	20.85%	0.00%	0.51%	0.00%	>= 100.00%
Infrastructure backlog ratio							
Estimated cost to bring assets to a satisfactory standard							
Net carrying amount of infrastructure assets	1.29%	1.68%	1.43%	1.59%	1.51%	1.57%	< 2.00%
Asset maintenance ratio							
Actual asset maintenance							
Required asset maintenance	110.05%	86.97%	150.00%	91.30%	52.83%	144.44%	> 100.00%
Cost to bring assets to agreed service level							
Estimated cost to bring assets to an agreed service level set by Council							
Gross replacement cost	1.10%	1.32%	0.89%	0.88%	0.88%	0.92%	

(1) Asset renewals represent the replacement and/or refurbishment of existing assets to an equivalent capacity/performance as opposed to the acquisition of new assets (or the refurbishment of old assets) that increases capacity/performance.